

1 Provisions, contingent liabilities and contingent assets



Section overview

IAS 37, **Provisions, Contingent Liabilities and Contingent Assets** provides guidance on when provisions and contingencies should be **recognised** and if so, at what amount.

1.1 Issues

As we have seen in many of the previous chapters, amounts in the financial statements often result from the exercise of judgement; for example, determining the useful life, residual value and appropriate depreciation method in determining the carrying amount of property, plant and equipment. Accounting for provisions, contingent liabilities and contingent assets, however, is, particularly **problematic due to the increased level of uncertainty**. The key issues include:

- **whether** a provision or contingency should be recognised; and
- if it is recognised at **what amount** it should be recorded.

The situation is further complicated by the fact that these **decisions** may be **affected by events occurring after the reporting period**.

1.2 IAS 37, Provisions, Contingent Liabilities and Contingent Assets

Objective

IAS 37 aims to ensure that:

- **appropriate recognition criteria and measurement bases are applied** to provisions, contingent liabilities and contingent assets; and
- **sufficient information is disclosed** in the notes to the financial statements to enable users to understand their nature, timing and amount.

Scope

Although IAS 37 has wide scope, there are **two limited exceptions**:

Executory contracts (except where the contract is onerous – see section 4.2)	Executory contracts are contracts under which neither party has performed any of its obligations or both parties have partially performed their obligations to an equal extent. For example, an unfulfilled order for the purchase of goods, where at the end of the reporting period, the goods have neither been delivered nor paid for .
Where the accounting treatment is covered by another accounting standard	For example, IFRS 3, Business Combinations deals with the recognition of an acquiree's contingent liabilities at the time of a business combination (see Chapter 10). Income taxes are covered by IAS 12 Income Taxes. Leases (with the exception of onerous leases where the low value or short-term exemption has been applied) are covered by IFRS 16, Leases. There are also a number of issues which are covered by IFRS 15, Revenue from Contracts with Customers, notably focusing on extended warranties (not to be confused with standard warranties , which are covered by IAS 37).

2 Provisions: definition and recognition



Section overview

A provision is recognised when **all** of the following conditions are met:

- The entity has a **present obligation** (legal or constructive) as a **result of a past event**.
- It is probable that an **outflow of resources** embodying economic benefits will be required in order to settle any obligations.
- A **reliable estimate can be made** for the amount of the obligation.

2.1 Definition

The key aim of IAS 37 is to ensure that provisions are only recognised when there are valid grounds for doing so.



Definition

Provision: A liability of uncertain timing or amount.

A liability is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

2.2 Recognition

IAS 37 states that a provision should be recognised when:

- an entity has a **present obligation** (legal or constructive) as a result of a **past event**;
- it **is probable** that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a **reliable estimate** can be made of the amount of the obligation.

If one or more of these criteria is/are not met, a provision is not recognised (although as we will see later in this chapter, a contingent liability may exist).

2.3 A present obligation as a result of a past event

To establish whether an entity has a present obligation which arose from a past event, identification of an 'obligating event' is required.

An obligating event occurs where the entity has no realistic alternative to settling the obligation created by the event. IAS 37 recognises that this can occur:

- where the settlement **can be enforced by law**; or
- in the case of a **constructive obligation**, where the **event creates valid expectations** in other parties that the entity will discharge the obligation (see section 2.4 below).

Notes

- 1 The event **must be past** ie, it must have occurred at the end of the reporting period. No provision is made for costs that may be incurred in the future but where no obligation yet exists.
- 2 Only obligations arising from past events **existing independently of an entity's future actions** (ie, the future conduct of its business) are recognised as provisions. If management can avoid incurring expenditure by changing the entity's future operations, no provision arises.

- 3 An obligation always **involves another party to whom the obligation is owed**. However, the exact identity of that other party need not be known eg, the obligation may be to the public at large.
- 4 A **board or management decision does not give rise to an obligation** unless it has been communicated before the end of the reporting period to those affected by it so as to **raise a valid expectation** that the entity will discharge its responsibilities. In the absence of such communication, the board could change its mind and hence would be under no obligation.
- 5 Sometimes, **the existence of an obligation will be uncertain** eg, where there is a legal dispute. In these cases, IAS 37 deems a past event to give rise to a present obligation if it is **more likely than not** that an obligation exists at the end of the reporting period. However, if it is possible rather than **probable that an obligation exists**, a **contingent liability will exist**, not a provision (see section 6 below).

Context example: Present obligation as a result of a past event

Company A carries out **quarrying activities**. A condition of the planning consent is that environmental damage caused by quarrying must be remedied on completion of the quarrying. In this case, an obligation exists independently of the company's future conduct in relation to damage already caused at the end of the reporting period, **because the company cannot avoid having to pay for remedial action**. By contrast, no obligation exists in relation to expected further damage from continued quarrying because the company could decide not to quarry in the future.

Company B operates aircraft that need periodic overhauls if they are to continue in operation. No obligation exists in relation to future overhauls because the company could decide to sell or scrap the aircraft rather than overhaul them. The obligation only arises as the aircraft are used by the company. **Quarrying activities involve the extraction of natural resources like stone, sand, and gravel**

2.4 Legal and constructive obligations

You should be familiar with the concept of a legal obligation.

Definition

Legal obligation: An obligation that derives from:

- a contract (through explicit or implicit terms);
- legislation; or
- other operation of law.

An **example of a legal obligation** would be a **standard product warranty** provided at the time of sale to undertake necessary repairs for a specified period of time, where the warranty is stated as part of the terms and conditions of sale.

A constructive obligation may be a less familiar term.

Warranty provisions

Manufacturers may provide warranties to customers that provide assurance that an item will function as intended for a period of time. These are standard warranties, which are **offered as part of the terms and conditions associated with the sale of the goods** and are **not separately paid** for by customers. These warranties create clear legal obligations and so (assuming other recognition criteria are met) result in the recognition of a provision in accordance with IAS 37.

Warranties which provide more than the standard assurance of functionality, such as additional servicing or extended warranties, create separate performance obligations for the seller and as such fall within the scope of IFRS 15.

Therefore, **extended warranties** (which require an element of payment) are **covered under IFRS 15** and 'standard warranties' (covered here) are treated under IAS 37, as there is a degree of uncertainty.

In this chapter, we are only covering standard warranties.



Definition

Constructive obligation: An **obligation that derives** from an **entity's actions** where:

- by an **established pattern of past practice**, published policies or a sufficiently specific current statement, the entity has indicated to other parties that it will accept certain responsibilities; and
- as a result, the entity has created a valid expectation on the part of those other parties that it will discharge those responsibilities.

Constructive obligations are more difficult to identify with certainty than legal obligations. In practice they are recognised **where the situation has much the same commercial effect as a legal obligation**. In other words, in practice, the entity cannot avoid settling the obligation.

For example, there is likely to be a constructive obligation where **failure to do something would result in unacceptable damage to an entity's reputation or future business**.



Context example: Constructive obligation

A retail store operates **a policy of giving refunds to customers** that goes beyond the company's legal obligations. The policy is long established and widely known. It is likely that this policy creates a constructive obligation, as a significant breach of the policy would damage the company's reputation considerably.

There is a present obligation as a result of a past obligating event (the sale of the product), with the constructive obligation as a result of the store's established policy. There is a probable outflow of economic benefits (based on a probability of the portion of returned goods) as a result of the likelihood of paying a refund.

2.5 Probable outflow of resources

A **provision is recognised only** where the obligation will lead to a **probable outflow of resources**. Probable is defined for these purposes as **more likely than not** to occur. In practical terms this means that there is a **greater than 50% chance** that an entity will have to transfer resource to another party.

Note: Where there are a number of similar obligations (eg, product warranties) the probability should be based on considering the class of obligation as a whole.



Context example: Probable outflow

If a company has an obligation to provide standard warranties, then the probability of outflow of economic benefits may well be extremely small **in respect of one specific item**. However, when considering the class of obligation as a whole, the probability of some outflow of economic benefits is likely to be much higher. If **there is a greater than 50% probability of some transfer of economic benefits** then a **provision** should be made for the **expected amount**.

2.6 Reliable estimate

A provision should be recognised only if a **reliable estimate** of the obligation can be made.

Notes

- 1 Where an entity can determine a range of possible outcomes, a sufficiently reliable estimate can be made, even if the exact amount cannot be quantified.
- 2 In the extremely **rare case where** no reliable estimate can be made, a liability exists that cannot be recognised. That liability is **disclosed as a contingent liability**. IAS 37 provides no example of such an extremely rare case. In effect, 'extremely rare' means, 'almost never'. The next topic covers the basis of measurement of provisions.



Professional skills focus: Applying judgement

Professional judgement will be required in cases where the estimated outflow of economic benefits is not known. This is likely to be a feature of provisions in which uncertainty is inherent. This may be on the basis of previous experience, such as the proportion of sales returned of a certain product. Your exam will state the probabilities if you need to apply this in your calculations. In your professional life, you will have to understand the basis of the calculation and apply a degree of professional scepticism to assess whether it is reasonable, for example, such as by assessing actual returns to the provisions or asking questions about the calculation methodology used.

3 Provisions: measurement



Section overview

- A provision should be measured at the **best estimate of the expenditure required to settle the obligation**.
- Where there is a large population, an expected value will be calculated.
- The amount of the provision should be discounted where the time value of money is material.
- Reimbursement should be recognised as a separate asset when it is virtually certain that it will be received.

3.1 Basic rule

The amount provided should be the **best estimate** of the expenditure required to settle the present obligation at the end of the reporting period. This is the amount that an entity would rationally pay to settle the obligation at the end of the reporting period or to transfer it to a third party at that time. In making a best estimate account should be taken of:

- information provided by **events after the reporting period**;
- **management judgement/experience** of similar transactions;
- guidance from independent **experts**; and
- the **risks and uncertainties** surrounding the situation. Care is needed both to avoid understating provisions and to avoid excessively prudent provisioning.

3.2 Single obligation

Uncertainties surrounding the amount to be recognised as a provision are dealt with by various means **according to the circumstances**.

Context example: Single obligation

If the expenditure for a single obligation is estimated at CU10,000 and there is a 55% chance of the expenditure being incurred, then CU10,000 is provided for. The process of estimating the amount involves two separate steps:

- Step 1** Is it probable that there will be an outflow of economic resources (arising from a present obligation)? Yes, there is in this case, as there is a 55% probability.
- Step 2** What reliable estimate can be made? CU10,000 in this case.
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Notes

- 1 An **expected value** calculation (see next section) is **not relevant for a single obligation**.
- 2 Where a single obligation is being measured, the individual most likely outcome may be the **best estimate** of the liability. However, even in this case, the entity should consider other outcomes. Where other possible outcomes are either mostly higher or mostly lower than the most likely outcome, the best estimate will be a higher or lower amount

3.3 Expected values

Where there is a **large population of items**, the obligation is estimated by weighting all possible outcomes by their associated probabilities, to arrive at the **expected value**.

Interactive question 1: Expected values

Xable plc sells goods which carry a standard one-year repair warranty. If minor repairs were to be required for all goods sold in 20X7, the cost would be CU100,000. If major repairs were to be needed for all goods sold in 20X7, the cost would be CU500,000.

Xable plc estimates that 80% of goods sold in 20X7 will have no defects, 15% will have minor defects and 5% will have major defects.

Requirement

Calculate the provision for repairs required at 31 December 20X7.

See **Answer** at the end of this chapter.

3.4 Future events

Future events such as changes in technologies, efficiency improvements and changes in legislation may have a significant impact on the **measurement of provisions**. These should be taken into account where there is **sufficient objective evidence** that they will occur.

3.5 Expected disposal of assets

Gains from the expected disposal of **assets should not be taken into account in measuring a provision** even if the expected disposal is closely linked to the event giving rise to the provision. Instead, such gains are accounted for under the relevant IFRS Standard eg, IAS 16, Property, Plant and Equipment and IFRS 5, Non-current Assets Held for Sale and Discontinued Operations for PPE.

3.6 Discounting

Where the effect of the **time value of money is material**, the amount of the provision should be **discounted**. It should be measured at the **present value** of the expenditure required to settle the obligation. This is likely to be an issue when there is a significant period of time between the end of the reporting period and settlement of the obligation.

The discount rate used should be the **pre-tax rate** that reflects **current market assessments** of the time value of money and the **risks specific to the liability**.

Over the **period between the recognition of a provision and its ultimate settlement**, the provision should be unwound each year by applying the discount rate to the carrying amount of the liability. **The increase should be recognised as a finance cost in profit or loss**, not as a further expense under the line item where the original provision was charged.

If there is a change in the expected value of the provision due to reasons other than the unwinding of the discount, the finance cost and the change in value should be calculated and presented separately in the statement of profit or loss.

The double-entry to record the finance cost will be:

	CU	CU
DR Finance costs (profit or loss)	X	
CR Provision		X

The unwinding of the discount should be included as a finance cost. Thereafter, each year, the finance cost (reflecting the time value of money) is expensed, and the provision is increased by the same amount. At the end of the period (in the illustration below, at the end of Year 3), the provision will reflect the monetary value required to settle the obligation.

Notes

- 1 The **entity's average borrowing rate should not be used as the discount rate**. The discount rate should be pre-tax and reflect current market rates of the time value of money and the risks specific to the liability.
- 2 The discount rate should not be risk-adjusted if the cash flows already take account of this. This is relevant when risk is being incorporated directly in cash flows (for example a potential outflow may be increased to reflect its greater risk). When this has been done, adding a risk premium to the discount rate would be double-counting the risk effect.
- 3 Disclosure should be made of the **increase during the period in the discounted amount** arising from the passage of time and the **effect of any change** in the discount rate.

Worked example: Discounting

Sunak plc is a construction company which has a present obligation at 31 December 20X6 in respect of an obligation to offset the environmental damage caused by excavating a new site in preparation for constructing new energy-efficient affordable homes. Sunak plc expects to settle its obligation in three years' time for CU100,000. The rate which reflects the time value of money and the risks specific to the liability is 10%.

Requirements

- 1 Calculate the amount of the provision at 31 December 20X6 and prepare the journal entry to record the provision.
- 2 How much should be recognised as a finance cost in each of the three years ending 31 December 20X7, 20X8 and 20X9?

- 3 What accounting entry is required to record the finance charge in the year ending 31 December 20X7?

Solution

- 1 The provision should be measured at its present value at 31 December 20X6, that is $CU100,000/(1.1)_3 = CU75,131$.

The accounting entry to record the provision on initial recognition is:

	CU	CU
DRP/L expenses (likely cost of sales)	75,131	
CR Provision		75,131

Note: As Sunak plc is a construction company and the site excavation is in respect of the construction of homes, the debit is likely to be included in cost of sales as the new homes being constructed will be part of inventory.

- 2 The finance cost in each of the three years is calculated as:

	Balance b/f CU	Finance cost @ 10% CU	Balance c/f 31 Dec CU
20X7	75,131	7,513	82,644
20X8	82,644	8,264	90,908
20X9	90,908	9,092	100,000

The provision is unwound each year by expensing the finance cost (in Year 1, this is CU7,513) and the provision increases so that there will be CU100,000 at the end of Year 3 sufficient to cover the company's obligation.

- 3 The accounting entry to record the finance charge in 20X7 is:

	CU	CU
DR Finance expenses (profit or loss)	7,513	
CR Provision		7,513

Interactive question 2: Discounting

At 31 December 20X8 a company has an obligation in respect of costs that will be payable in 10 years' time arising from the restoration of land subject to quarrying and which satisfies the criteria for a provision as set out in IAS 37. The costs in 10 years' time are estimated at CU1.2 million.

There has been no change in the estimated costs in the year to 31 December 20X9. The relevant discount rate has been assessed as 9%.

Requirement

Calculate the finance cost to be recognised as an expense in the year ended 31 December 20X9.

See **Answer** at the end of this chapter.



Professional skills focus: Structuring problems and solutions

Work methodically through the information provided in any provision questions. Consider whether the provision is required in more than one year's time, in which case the effect of discounting is likely to be significant. You will need to reflect the time value of money by discounting (and unwinding the discount as the finance cost). You will be given the discount rate in your exam. You may also be asked to explain why discounting is required in such situations.

3.7 Reimbursements

In some cases, **an insurance company or a supplier** under a warranty may reimburse all or part of a company's expenditure to settle a provision. If so **the reimbursement should be recognised only when it is virtually certain that reimbursement will be received if the entity settles the obligation**. IAS 37 requires that the **reimbursement should be:**

- **treated as an asset** in the statement of financial position **separate from the provision**; and
- recognised in the statement of financial position **at an amount not exceeding the amount of the provision**.

The double entry will be:

	CU	CU
DR Reimbursement (receivable)	X	
CR Expense account (profit or loss)		X

Notes

- 1 Where an asset is recognised, it is presented separately from the liability, because in the unlikely event that the asset is not recovered, the company would still remain liable for its obligation.
- 2 In the statement of profit or loss, the expense relating to a provision may be presented net of the amount recognised for a reimbursement.
- 3 Note the different approaches to the recognition of assets and liabilities throughout this standard. An asset can be recognised only if an inflow of resources is virtually certain (and therefore not contingent), whereas a liability is recognised if an outflow of resources is more likely than not to occur.

If the likelihood of receiving reimbursement is not virtually certain then the amount should be disclosed as a **contingent asset**, assuming that receipt is probable (see section 6 below).

3.8 Changes in provisions and judgements required

Provisions are **inherently uncertain** and IAS 37 requires that **they should be reviewed at the end of each reporting period** and adjusted to reflect the current best estimate. If a transfer of economic benefit is no longer probable, the provision should be reversed. IAS 37 requires the following:

- provisions to be reassessed at the end of the reporting period and adjusted to reflect current best estimates;
- the reassessment should include estimated cash flows and a review of the discount rate used (it should be the current rate rather than a longer-term average); and
- if there is a change in the best estimate of a discounted provision, two amounts are recognised in the statement of profit or loss:
 - a finance cost calculated by applying the discount rate to the opening provision brought forward; and

- an increase/decrease in operating expenses (most likely administrative expenses) to reflect the change in the best estimate.

Worked example: Discounted provision associated with a non-current asset

Butternut Ltd is preparing its financial statements for the year ended 31 March 20X8. At 1 April 20X7, Butternut Ltd had expected costs of CU10 million in respect of repairs to land that will need to be made in five years' time, as a result of environmental damage caused by the initial establishment of chalk quarry operations. A provision of CU6,210,000 (being the present value of CU10 million in five years' time) was recognised at that date. The land is carried at cost.

On 31 March 20X8, the directors assessed that the expected cost of the damage had increased to CU12 million. No accounting has taken place in respect of the provision in the year ended 31 March 20X8.

The relevant discount rate in this case is 10%. The discounted values of CU1 are as follows:

CU1 in five years = CU0.621

CU1 in four years = CU0.683

Requirement

Explain, with supporting calculations, how the provision for environmental damage should be accounted for in the year ended 31 March 20X8.

Solution

There has been a change in the expected cost of repairing the environmental damage, which requires to be accounted for in the year. The change in expected cost is dealt with in two stages:

Step 1 The provision at 1 April 20X7 needs to be unwound to calculate the finance cost on the existing provision for the year.

	CU
Present value of original provision at 1 April 20X7	6,210,000
Finance cost at 10%	621,000
Present value of original provision at 31 March 20X8	6,831,000
The journal entry to record the unwinding of the provision is:	

	CU	CU
DR Finance cost (profit or loss)	621,000	
CR Provision		621,000

Step 2 The provision needs to be remeasured based on the present value of the new CU12 million expected cost in four years' time. The increase is not a finance cost and will in this case be capitalised as part of PPE.

	CU
Present value of original provision at 31 March 20X8	6,831,000
Increase	1,365,000
Present value of new provision at 31 March 20X8 (CU12m × 0.683)	8,196,000

The journal entry to record the increase as a result of the remeasurement is:

	CU	CU
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DR Property, plant and equipment (quarry)	1,365,000	
CR Provision		1,365,000

Note: The increase in the present value of the provision is recognised in PPE in this case because it relates to the establishment of the quarry operations, which should also be recognised as PPE. If it was remeasurement of, for example, a legal case, the increase would be recognised in profit or loss. You need to use the information provided in the question to determine where the increase is recognised.

3.9 Use of provisions

IAS 37 specifies that a provision should be used **only for expenditures for which the provision was originally recognised**.

If a provision is no longer required for its originally intended purpose, it should be reversed and not used to conceal the impact of other unrelated expenditure. The reversal is a **change of accounting estimate** (IAS 8) and is recognised in profit or loss in the year of reversal.

The entry to record the reversal is:

	CU	CU
DR Provisions	X	
CR Expense (SOPL)		X

4 Provisions: specific applications



Section overview

- Future operating losses should not be provided for.
- A provision should be made for the unavoidable costs of meeting obligations under an onerous contract.
- Provisions for a restructuring should only be made where there is an obligation at the end of the reporting period.

4.1 Future operating losses

Provisions should not be recognised for future operating losses as they do not meet the definition of a liability (as they arise from future, not past events) or the general recognition criteria set out in IAS 37.

Note: This treatment is consistent with that required under IFRS 3 for expected future losses of an acquired business (see Chapter 10). IFRS 3 specifies that such losses should not be taken into account when calculating any goodwill acquired in a business combination but must be dealt with as post-acquisition items in the group accounts.

4.2 Onerous contracts



Definitions

Onerous contract: A contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefit expected to be received under it.

Unavoidable costs: The lower of the cost of fulfilling the contract and any compensation or penalties arising from failure to fulfil it. In other words, it is the lowest net cost of exiting from the contract.

Cost of fulfilling the contract: The cost of fulfilling a contract comprises the costs that relate directly to the contract. The costs that relate directly to the contract include both:

- The incremental costs of fulfilling the contract – for example direct labour and materials; and
- An allocation of other costs that relate directly to fulfilling the contract – for example an allocation of depreciation costs on machinery that is used in fulfilling the contract.

If an **entity has a contract that is onerous**, the present obligation under the contract should be **recognised and measured as a provision**. An example might be a contract with a customer that is expected to make a loss.

The provision should be made for the least net cost of exiting from the contract:

Lower of:
Net cost of fulfilling the contract (continuing with it)
Or
Paying the penalties for an early exit or failing to fulfil the terms of the contract

Interactive question 3: Onerous contract

A company has a contract to buy 300 metres of silk from India Co each month for CU18 per metre. From each metre of silk, the company can make one scarf. The company incurs labour and other direct variable costs of CU16 per scarf.

Usually the company can sell each scarf for CU40 but in late July 20X8 the market price falls to CU28. It is considering ceasing production since managers think that the market may not improve.

If the company decides to cancel the silk purchase contract without two months' notice it must pay a cancellation penalty of CU2,400 for each of the next two months.

Requirements

- 3.1 Is there a present obligation at 31 July 20X8?
- 3.2 What amounts should be recognised in respect of the contract in the company's financial statements for the period ending 31 July 20X8?

See **Answer** at the end of this chapter.

4.2.1 Leases

A lease agreement only results in an onerous contract within the scope of IAS 37 if either of the **following criteria are met**:

- the lease becomes onerous before the lease commencement date (before it starts); or

Example of Onerous Contract:

A multi-year lease for property that a company can no longer use.

A supplier agreement where the cost of goods or services has risen significantly, making the contract unprofitable.

An insurance policy that is expected to result in more claims than the premiums collected.

- the lease has been accounted for using the IFRS 16 recognition exemption (ie, it relates to an asset of low value or is a short-term lease).

This is because in all other cases a lease liability is recognised and therefore if the lease contract became onerous recognition of a provision for future costs would not be necessary.

4.3 Restructuring Under IAS 37, a provision for restructuring is recognized only when a company has a detailed formal plan for the restructuring that includes specific details on the business,



Definition

Restructuring: A programme that is planned and controlled by management, and materially changes either:

- the scope of a business undertaken by an entity; or
- the manner in which that business is conducted.

Examples of events that may fall under the definition of restructuring include:

- sale or termination** of a **line of business**
- closure** of business locations or the **relocation** of business activities
- changes in **management structure**
- fundamental reorganisations** that have a material effect on the nature and focus of the entity's operations

Note: The IAS 37 requirements apply to the recognition and measurement of provisions on discontinuance, as well as other restructurings. In the case of a discontinuance, IFRS 5 (dealt with in Chapter 3) provides additional disclosure requirements.

4.3.1 Criteria for making a provision

The key accounting issue is **whether**, and if so, **when**, to recognise a provision for a planned restructuring.

IAS 37 treats a restructuring as creating a **constructive obligation** (and therefore as requiring recognition as a provision) only when an entity:

- has a **detailed formal plan** identifying at least:
 - the **business concerned**
 - the **principal locations**
 - the **employees affected**
 - the **expenditure required**
 - the **timing**; and
- has raised a **valid expectation** in those affected that it will carry out the restructuring by starting implementation or announcing its main features.

A **management or board decision** taken before the end of the reporting period in itself **does not give rise to a constructive obligation** at the end of the reporting period **unless** the entity has:

- already **begun implementation**; or
- made a public announcement** of the main features sufficient to establish a constructive obligation.

Note: A similar decision taken after, not before, the end of the reporting period will normally require disclosure as a non-adjusting event after the reporting period, under IAS 10 (see below).

4.3.2 Measurement

A provision should **include only the direct expenditures** arising from the restructuring, which are both:

- **necessarily entailed** by the restructuring; and
- **not** associated with **ongoing activities**.

This therefore excludes indirect costs, for example retraining, marketing or relocating staff in a continuing operation. Provisions for future losses of the restructured operation are also not permitted, unless they relate to onerous contracts.

4.3.3 Sale of an operation

Where an operation is to be sold, no obligation arises for the sale until the entity is committed to the sale ie, **there is a binding sale agreement**.

A decision to sell does not itself create an obligation. Without a binding agreement, there is no past event independent of the entity's future actions, as management may change its mind or be unable to find a purchaser.

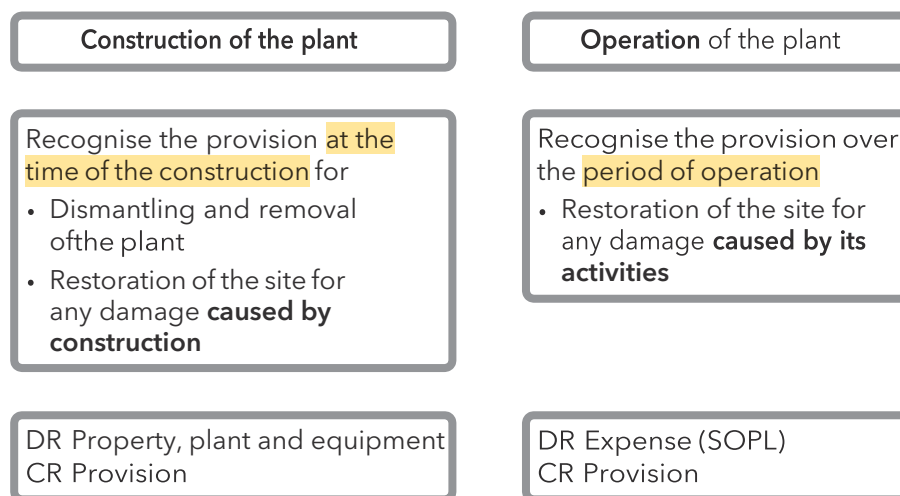
4.4 Decommissioning and environmental costs

Some industries, such as those involved in mining or natural resources, face legal or other constructive obligations to ensure that the environment is not adversely affected by their activity. For example, oil rigs in the North Sea are capped, dismantled, the platforms removed and any damage made good when a company has stopped extracting oil.

4.4.1 Measurement

These decommissioning costs should be provided for at the date of the obligating event.

The obligating events may arise as follows:



It is therefore possible to have two elements of the provision for decommissioning, one resulting from the construction or purchase of the asset and one from the ongoing activity.

The **amount of the provision that arises from the construction/purchase of an asset is also recognised as part of the initial cost of an asset**, to be depreciated over the period of the asset's useful life.

Notes

- 1 In respect of provisions that arise from the operation of the plant, note that a provision can only be created for damage that has already taken place and which the entity is required to rectify. It does not apply to future damage, which could be avoided if the entity changed its operational practices.
- 2 Increasing levels of legislation relating to climate and the environment and broader strategies such as net zero targets may impose additional obligations on companies in respect of cleaning up their operations. Additionally, many companies are communicating their green targets and are therefore creating constructive obligations relating to their activities. You should note however that it is only obligations that exist independently of an entity's future actions and for which future expenditure cannot be avoided that meet the definition of a provision. For example, a company might announce that, in two years' time, it will fit air filters to its factory to reduce the debris and contaminants that enter into the atmosphere. This announcement does not give rise to an obligation as the company can avoid the future expenditure by changing its future operations (regardless of how practical or otherwise that might be).

Interactive question 4: Provision for environmental damage

A company establishes a new quarry, costing CU50 million, and has a legal obligation to restore environmental damage in five years' time once quarrying is completed. Before rock can be extracted for sale, the overlying material (the overburden) must be removed, causing environmental damage. The overburden itself has no commercial value. The estimated cost of remedying the damage caused by removal of the overburden is CU10 million. The relevant discount rate is 8%.

Requirement

Explain the initial and subsequent accounting required for the provision for environmental damage rectification arising out of removal of the overburden.

See **Answer** at the end of this chapter.

4.5 Other examples

Appendix C of IAS 37 includes a number of examples of the way in which the recognition criteria would be applied to specific situations. Several of these have already been referred to in this chapter. You should read through the Appendix and attempt Interactive question 5 below to confirm your understanding.

Interactive question 5: Provisions

In which of the following circumstances might a provision be recognised?

- A On 13 December 20X9 the board of an entity decided to close down a division. The accounting reference date of the company is 31 December. Before 31 December 20X9 the decision was not communicated to any of those affected and no other steps were taken to implement the decision.
- B As A above except that the board agreed a detailed closure plan on 20 December 20X9 and details were given to customers and employees.
- C A company is obliged to incur clean up costs for environmental damage (that has already been caused).
- D A company intends to carry out future expenditure to operate in a particular way in the future.

See **Answer** at the end of this chapter.

5 Provisions: disclosures



Section overview

IAS 37 requires a number of numerical and narrative disclosures.

5.1 IAS 37 requirements

IAS 37 disclosures are examinable in full. The main requirements in relation to provisions are set out below. These are followed by an illustration of a provisions 'table' with supporting explanation.

Key IAS 37 numerical disclosures for each class of provision are:

- **carrying amounts** at the beginning and end of the period; and
- **movements** during the period, including:
 - amounts provided
 - amounts used (ie, incurred and charged against the provision)
 - unused amounts reversed
 - increases due to unwinding of a discount
 - effect of changes in the discount rate.

Key IAS 37 narrative disclosures for each class of provision are:

- a brief description of the **obligation** and **expected timing of any outflows** of resources embodying economic resources;
- an indication of the **uncertainties** involved; and
- the **amount of any expected reimbursement**, including the amount of any asset that has been recognised.

Note: In extremely rare cases, **disclosure may seriously prejudice the company's position** in a dispute with other parties on the subject matter of the provision. In such cases, the **information need not be disclosed**, but the general nature of the dispute, together with the reason why the information has not been disclosed, should be stated.

5.2 Example of a provisions disclosure note

The following illustrates the way in which the key IAS 37 disclosures are normally met – by way of a provisions 'table', with supporting narrative, included in the notes to the financial statements.

Note X: Provisions

	Warranty provision	Legal provision	Total
	CU	CU	CU
At 1 April 20X7	50,000	22,000	72,000
Additions	32,000	10,000	42,000
Amount utilised during Year	(51,000)	(20,000)	(71,000)
At 31 March 20X8	<u>31,000</u>	<u>12,000</u>	<u>43,000</u>

What the above table shows, for example, for the warranty provision, is that at the end of last year a provision of CU50 million had been made. During the year, CU51 million was paid out in warranty costs. At the end of the year the company estimated that a provision of CU31 million was needed. This gives a balancing figure of CU32 million which represents the addition to the provision and will be charged to profit or loss.

Note: Any warranties which provide an additional service beyond assuring the functionality of an item for a specific period, whether provided free of charge or at a cost to the customer, fall within the scope of IFRS 15.

6 Contingent liabilities and contingent assets



Section overview

Contingent liabilities and assets **should not be recognised but may require disclosure**.

6.1 Contingent liabilities **If the outflow of resources is probable and can be reliably measured, it's a provision. If the outflow is not probable or cannot be reliably measured, it's a contingent liability.**



Definition

Contingent liability: Either:

- a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or
- a present obligation that arises from past events but is not recognised because:
 - it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - the amount of the obligation cannot be measured with sufficient reliability.

Notes

- 1 Note the distinction between a provision and a contingent liability. A **contingent liability arises when some, but not all, of the criteria for recognising a provision are met**. The criteria for recognising a provision were covered in section 2.2 above.
- 2 If an obligation is probable it is not a contingent liability – instead a provision is needed, assuming a reliable estimate can be made of the amount of the obligation.

6.2 Treatment of contingent liabilities

Contingent liabilities **should not be recognised in the financial statements** but may require **disclosure** (see below) if they are material. Contingent liabilities are disclosed in order to meet the requirements set out by the Conceptual Framework to ensure that the information provided to the primary users of the financial statements is both relevant and faithfully represents the position and performance of the company. If the contingent liability was not disclosed at all then the users would not be aware of a potential financial claim against the company. In other words, this could have a material effect on the decisions that users may make based on the information provided.

Because contingent liabilities are inherently uncertain, they should be **assessed continually** to identify whether the criteria for recognising a provision have been met. If this occurs, a provision should be recognised in the period in which the criteria are met. This **would represent a change of accounting estimate** regarding the likely outcome of an uncertain situation.

6.3 Disclosure of contingent liabilities

Unless the **possibility of any outflow in settlement is remote**, the following disclosures should be made for **each class of contingent liability at the end of the reporting period**:

- a brief description of its **nature**; and
- where practicable:
 - an **estimate of the financial effect** (measured in the same way as a provision);
 - an indication of the **uncertainties**; and
 - the possibility of any **reimbursement**.

No specific guidance is provided in IAS 37 on the meaning of 'remote' but it should be interpreted as meaning **extremely unlikely**. This means that the probability of an event occurring should be **so small that it can be ignored**.

Context example: Contingent liability

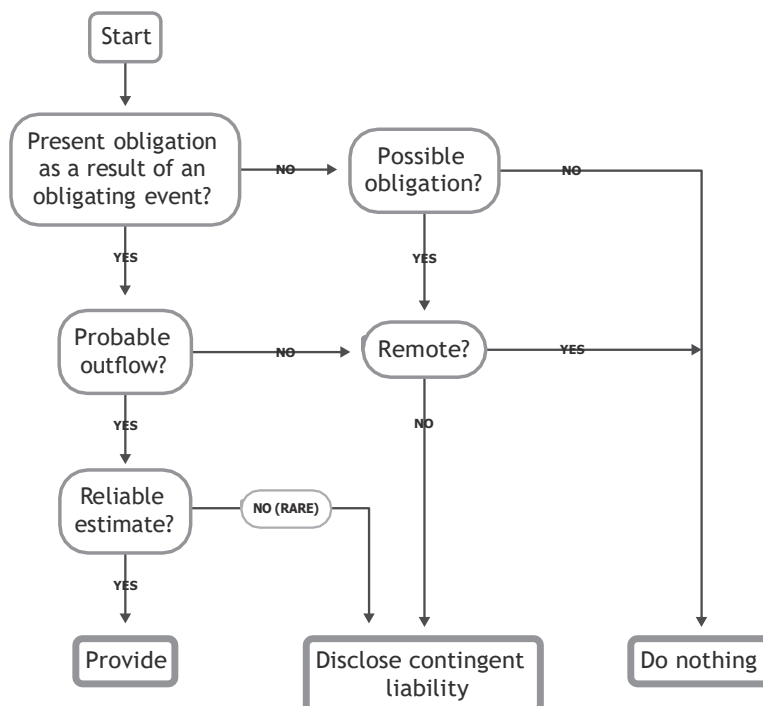
A company has provided a guarantee to a third party which, if it were to be called on to honour it, would undermine the going concern basis. In such a situation, even a 5% or 10% chance that the guarantee will be enforced should not be considered remote as this could potentially destroy the entire company.

6.4 Exemption

If the disclosure requirements of IAS 37 are not met because it is not practicable to do so, this fact should be stated. The same 'seriously prejudicial' disclosure exemption applies for contingent liabilities as for provisions (see topic above).

6.5 Relationship between provisions and contingent liabilities

This can be summarised in the following flow chart which has been reproduced from Appendix B of IAS 37.



Examples

- **Lawsuits:** A company suing another party might have a contingent asset if they expect to win a settlement or damages. ⓘ
- **Insurance Claims:** A pending claim for stolen inventory or a damaged asset is a contingent asset until the insurance company approves the payout. ⓘ
- **Tax Refunds:** A company appealing a tax assessment may have a contingent asset representing a potential refund. ⓘ

6.6 Contingent assets



Definition

Contingent asset: A possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

An example of a contingent asset is the possible gain arising from a pending legal action or other claim.

6.7 Treatment of contingent assets

A contingent **asset must not be recognised**. Only when the realisation of the related economic benefits is **virtually certain** should recognition take place because, at that point, the asset is no longer contingent.

Contingent assets should be **assessed continually** to identify whether the uncertainty has been removed. If events confirm the existence of an asset, it should be **recognised** provided that it can be **measured reliably**.

6.8 Disclosure of contingent assets

Where an inflow of economic benefits is **probable** ie, more likely than not, the contingent asset must be disclosed.

The following information is required:

- a brief description of the **nature** of the contingent asset
- an estimate of the **financial effect**

As for contingent liabilities, these disclosures may be avoided on the grounds that it is **impractical** to provide the information or would be **seriously prejudicial** to the entity.

Interactive question 6: IAS 37 definitions

Explain whether each of the following circumstances falls within IAS 37's definitions of a provision, a contingent liability or a contingent asset.

Circumstance	Position under IAS 37
A contract of employment.	
A legal claim being pursued by an entity. The entity's lawyers believe it is probable that the entity will receive damages in relation to the claim.	
A legal claim being pursued against an entity. The claim has gone to court but at this stage, the entity's lawyers are unsure as to whether the claim will be successful.	
A legal claim against an entity where the entity has accepted liability but the amount to be paid has not yet been agreed.	
Legislation enacted but coming into effect next year which will require substantial retraining of staff.	

Circumstance	Position under IAS 37
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity's published policy in relation to environmental protection is that it will offset any environmental damage caused by its activities.	
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity has no published policy in relation to offsetting environmental damage and this is the first time the entity has considered carbon offsetting.	
Restructurings where the detailed plan has been developed, announced and agreed with employees' representatives.	
Restructurings where the detailed plan has been developed and announced.	
Restructurings where the detailed plan has been developed and agreed by the board, but no announcement has been made.	
Future reinstatement work under guarantees to be provided to customers in relation to future sales	

See **Answer** at the end of this chapter.

Interactive question 7: Application of IAS 37

For each of the following circumstances identify when, if ever, an asset or liability should be recognised under IAS 37. In each case, is any disclosure required by IAS 37 before any asset/liability recognition?

Circumstance	Application of IAS 37
A legal claim in relation to a past event is pursued against an entity over several years. The entity makes the following judgements about outflows of resources in settlement: - Year 1: there will be no outflow - Year 2: an outflow is remote - Year 3: an outflow is possible - Year 4: an outflow is probable - Year 5: an outflow is virtually certain	

Circumstance	Application of IAS 37
A legal claim in relation to a past event is pursued by an entity over several years. The entity makes the following judgements about inflows of resources in settlement: • Year 1: there will be no inflow • Year 2: an inflow is remote • Year 3: an inflow is possible • Year 4: an inflow is probable • Year 5: an inflow is virtually certain	

See **Answer** at the end of this chapter.

Interactive question 8: Recognition and measurement

- (1) Conditional Ltd issued a one-year guarantee for faulty workmanship on a single item of specialist equipment that it delivered to a customer. At the company's year end, the company is being sued by the customer for refusing to replace or repair the item of equipment within the guarantee period. Conditional believes the fault is not covered by the guarantee, but instead has arisen because the customer did not follow the operating instructions.

The company's lawyer has advised Conditional that it is more likely than not that the company will be found liable. This would result in the company being forced to replace or repair the equipment plus pay court costs and damages amounting to approximately CU20,000.

Based on past experience with similar items of equipment, the company estimates that there is a 70% chance that the central core would need to be replaced, which would cost CU80,000, and a 30% chance that the repair would only cost about CU30,000.

- (2) The company also manufactures small items of equipment which it sells via a retail network. The company sold 15,000 items of this type this year, which also carry a one-year guarantee against failure. Based on past experience, 5% of items sold are returned for repair or replacement. In each case, one third of the items returned can be repaired at a cost of CU100, while the remaining two-thirds are scrapped and replaced. The manufacturing cost of a replacement item is CU300.

Requirement

Discuss the accounting treatment of the above situations. See **Answer** at the end of this chapter.

7 IAS 10, Events After the Reporting Period

Section overview

- Events after the reporting period may be:
 - adjusting events
 - non-adjusting events
- The effect of adjusting events should be reflected in the year end financial statements.
- Where the effect of non-adjusting events is material they should be disclosed.

7.1 Purpose of IAS 10

Financial statements are prepared to the end of the reporting period. The preparation of financial statements, however, will normally continue for a period after this date. During this time lag, events may occur which **provide additional information** that is relevant to the preparation of the financial statements. The objective of IAS 10, Events After the Reporting Period is to prescribe when **financial statements should be adjusted** for these events and any **disclosures** that may be required.

7.2 Events after the reporting period



Definition

Events after the reporting period: Those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

Notes

- 1 The date the financial statements are authorised for issue is the key cut off point. Any event which takes place after this date is outside the scope of IAS 10.
- 2 The process involved in authorising the financial statements may vary:
 - Where an entity is required to submit its financial statements to its shareholders for approval after the financial statements have been issued, the financial statements are authorised for issue **on the date of issue** (not the date when the shareholders approve the financial statements).
 - Where the management is required to issue the financial statements to a supervisory board (made up solely of non-executives) for approval, the financial statements are authorised for issue **when the management authorises them for issue to the supervisory board**.
- 3 The date of authorisation may be **after** a preliminary announcement has been made of profits or other information.
- 4 The date on which the financial statements are authorised for issue must be **disclosed**, so that users know the date up to which events and transactions have been taken into account.

There are two different classes of events after the reporting period:

- **adjusting events**
- **non-adjusting events**

We will look at these in detail below.

7.3 Adjusting events



Definition

Adjusting events: Those that provide evidence of conditions that existed at the end of the reporting period.

As the name suggests adjusting events lead to the **adjustment** of the financial statements. They require either:

- **adjustments to amounts already recognised** in the financial statements; or
- recognition of items **which did not previously meet the recognition criteria**.

Examples include:

- The **settlement of a court case** outstanding at the end of the reporting period. (This is an example of an event which might require either adjustment to an amount already recognised in the financial statements as a liability or the recognition of something which before that would have been only a contingent liability.)
- **Bankruptcy of a customer** (recoverability of a debt), requiring adjustment to the amount receivable.
- Proceeds or other evidence concerning **the net realisable value of inventories**.
- Subsequent determination of **the purchase price or of the proceeds of sale** of assets purchased or sold before the end of the reporting period.



Context example: Adjusting event

A pressing machine with a budgeted carrying amount at 31 December 20X6 of CU20,000 is classified as held for sale in December 20X6. Its fair value less costs to sell is then estimated as CU18,000 and it is sold for CU16,500 on 28 February 20X7. The 20X6 financial statements are authorised for issue by the board on 15 March 20X7.

The machine should be measured at CU16,500 as a held for sale asset in the 20X6 financial statements.

Note: As the financial statements will have been adjusted for an adjusting event there is **no specific requirement to disclose the event**.

However, where the adjusting event affects an item which was not previously recognised but was disclosed, the disclosure will need to be updated. For example, the contingent liability for damages under a court case may need to be updated for new information.

7.4 Non-adjusting events



Definition

Non-adjusting events: Those that are indicative of conditions that arose after the reporting period.

Examples include:

- a **fall in the market value of investments**
- **plans to discontinue operations** announced after the reporting period
- major **purchases of assets**
- losses on non-current assets or inventories **as a result of a catastrophe such as fire or flood**
- restructurings not provided for **as they were announced after the reporting period**

Adjustments to amounts in the financial statements are **not made to reflect non-adjusting events**.

However, **where the effect of the non-adjusting event is material**, such that non-disclosure could influence users' economic decisions the following **information should be provided in the notes** to the financial statements for each event:

- the **nature** of the event
- an estimate of the **financial effect**

7.5 Dividends

Dividends on equity shares declared after the reporting period should be treated as follows:

- They **cannot be shown as a liability** at the end of the reporting period as there **is no obligation at that date**.
- The amount of dividends **payable should be disclosed in the notes to the financial statements** if they are declared after the reporting date but before the financial statements are authorised for issue.

7.6 Going concern

If management determines after the reporting period that it **intends to liquidate the entity or to cease trading, or that it has no realistic alternative but to do so**, then the financial statements **must not be prepared on the going concern basis**.

Notes

- 1 Management intentions are taken into account.
- 2 A change from the going concern basis is so all-pervasive in its effects on financial statements that a fundamental change to the basis of accounting is required, not just adjustments to the figures prepared on the going concern basis. No guidance is given in any IFRS Standards as to the basis of accounting which should be used in these circumstances, but it is likely that the break-up basis will be adopted (see Chapter 1). All assets will need to be measured at their net realisable values; amounts receivable from customers will need to take account of the period available for their collection – the shorter the period, the lower the value.



Interactive question 9: Building defects

A routine inspection of an entity's main freehold building two weeks after its year end of 30 June 20X8 and before the accounts were authorised for issue revealed substantial cracks in the walls. A more detailed review was immediately undertaken by specialist professionals, who reported that there were major problems with the foundations. In their view these problems must have arisen several years ago, even though the visible evidence had only now come to light.

Requirement

Explain how this event should be dealt with in the financial statements for the year ended 30 June 20X8.

See **Answer** at the end of this chapter.



Interactive question 10: Inventories

At its year end of 30 June 20X8 an entity held in inventories 4,000 units of a particular product line at a cost of CU550 each. The product had been selling well, at CU750 each with selling costs of CU100 each.

Early in its new financial year the entity learnt that competitor action was such that it could only sell its product for CU605, with selling costs unchanged.

Requirement

Explain how this event should be dealt with in the financial statements for the year ended 30 June 20X8.

See **Answer** at the end of this chapter.

7.7 Context and relevance of information for users

Financial statements are, by their very nature, prepared to a specific historical date. The process of preparing them can lead to a significant amount of time passing between the end of the reporting period and the publication date. Regardless of how quickly the financial statements are published, there will be a period of time before publication during which further events and transactions will take place.

Events that take place after the reporting period often provide further information on the financial position at the end of the reporting period. It is therefore reasonable that such information should be reflected in the financial statements.

Events may also arise before the publication of the financial statements that do not provide information on the financial position at the end of the reporting period but do have an impact on the operations of the entity in future periods. Where non-disclosure of such events is likely to influence the economic decisions of users of the financial statements, an explanation of the events should be included in the financial statements. For example, the sale of a significant operation after the year end could be key information for a user who is basing future earnings, cash flow and solvency forecasts on the financial statements.

IAS 10's requirement to disclose not just the nature but the financial effect of events occurring after the reporting period provides information which users should evaluate carefully.

8 IAS 20, Accounting for Government Grants and Disclosure of Government Assistance



Section overview

- A government grant is one type of government assistance.
- A government grant should only be recognised when there is reasonable assurance that:
 - the entity will comply with the conditions of the grant; and
 - the entity will receive the grant.
- Grants related to income should be recognised over the period in which the associated costs are incurred.
- Grants related to assets may be presented by either:
 - setting up the grant as deferred income; or
 - offsetting the grant against the carrying amount of the relevant asset.
- Grants received in the form of non-monetary assets should be recognised at fair value.
- Repayment of a grant should be treated as a change in accounting estimate.

8.1 Introduction

It is common for entities to receive government assistance for various purposes. In these terms the reference to 'government' is a **broad concept** including government agencies and similar bodies, whether local, national or international.

Government assistance can take many different forms and there are various motives for governments in providing such aid, including:

- **geographical** – to stimulate employment in poorer regions
- **industrial** – to support key industries (such as defence, IT and energy)

- **inward investment** – to promote investment from overseas
- **new start-ups** – to help infant entities gain a foothold in a market

To ensure that the objective of providing the assistance is met by the recipient entity, there are often a **variety of criteria and conditions** attached to their receipt. Conditions, for example, may require a minimum investment to be provided or a minimum level of employment to be sustained over a specified period by the entity.

In a **financial reporting context**, it is important to **disclose adequate information** in relation to government assistance, to ensure that **an entity's performance is accurately interpreted**. The identification of government assistance allows a **fair comparison** to be made with other entities in a similar industry that have not received such assistance.



Definition

Government assistance: Action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria.

Government assistance does not include benefits provided **indirectly** to an entity, for example the provision of infrastructure in development areas.

Government grants are a form of government assistance.

The title of IAS 20, Accounting for Government Grants and Disclosure of Government Assistance explains its purpose. However, IAS 20 does not apply to the following situations:

- government assistance given in the form of 'tax breaks', such as accelerated depreciation allowances and reduced rates of tax
- government acting as **part-owner** of the entity



Definition

Government grants: Assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the entity.

Note: Certain forms of government assistance are **excluded** from the above definition and should not be recognised. These include:

- free technical or marketing advice
- the provision of guarantees
- Transactions with government that cannot be distinguished from the normal trading transactions of the enterprise, for example a government procurement policy that is responsible for a portion of the entity's sales

8.2 Recognition

A government grant (including a non-monetary grant at fair value) should only be recognised when there is **reasonable assurance** that:

- the entity will **comply with any conditions** attached to the grant; and
- the entity **will actually receive the grant**.

Notes

- 1 Receipt of the grant in itself does not prove that the conditions attached to it have been or will be fulfilled.
- 2 The manner in which a grant is received does not affect the accounting method adopted, so a grant is accounted for in the same way whether it is received in cash or as a reduction in a liability to the government.

8.3 Measurement

IAS 20 identifies **two methods** which could be used to account for government grants:

- **capital approach:** recognise the grant outside profit or loss
- **income approach:** the grant is recognised in profit or loss over one or more periods

IAS 20 requires grants to be recognised under the **income approach**, that is grants should be recognised in profit or loss over the periods in which the entity recognises as expenses the costs which the grants are intended to compensate.

It would be against the accrual principle to recognise grants in profit or loss on a receipts basis, so a **systematic basis of matching** must be used. A receipts basis would only be acceptable if no other basis was available.

It will usually be relatively easy to identify the costs related to a government grant, and thereby the period(s) in which the grant should be recognised in profit or loss.

8.3.1 Depreciating assets

Where grants are received in relation to a depreciating asset, the grant should be recognised over the periods in which the asset is depreciated **and** in the same proportions.



Interactive question 11: Grants for depreciating assets

Arthur Ltd receives a government grant representing 50% of the cost of purchasing a new energy-efficient depreciating asset which cost CU40,000 and has a nil residual value.

Requirements

How should the grant be recognised if Arthur Ltd depreciates the asset:

- (a) Over four years straight line?
- (b) At 40% reducing balance?

See **Answer** at the end of this chapter.

8.3.2 Non-depreciating assets

In the case of **grants for non-depreciable assets**, certain obligations may need to be fulfilled, in which case the grant should be recognised in profit or loss **over the periods in which the cost of meeting the obligation is incurred**. For example, if a piece of land is granted on condition that a building is erected on it, then the grant should be recognised in profit or loss over the building's life.

8.4 Presentation of grants

8.4.1 Grants related to assets

Grants related to assets are used to acquire or construct specific non-current assets.

Government grants related to assets (including non-monetary grants at fair value) should be presented in the statement of financial position either:

- initially recognising the grant as deferred income; or
- by deducting the grant in arriving at the carrying amount of the asset (that is netting off).

8.4.2 Deferred income method

The deferred income method initially recognises the grant as deferred income in the statement of financial position, which is recognised in profit or loss on a systematic and rational basis over the useful life of the asset. Normally this corresponds to the rate of depreciation on the related asset.

8.4.3 Offsetting the amount from the carrying amount of the asset

This method deducts the grant in arriving at the carrying amount of the asset to which it relates. The grant is recognised in profit or loss over the life of a depreciable asset by way of a reduced depreciation charge.



Context example: Grants related to assets

An entity purchased low-emissions machinery for CU50,000 on 1 January 20X5. It will depreciate this machinery on a straight-line basis over its useful life of five years, with a zero residual value. Also on 1 January 20X5, the entity received a government grant of CU5,000 to help finance this equipment.

Assuming that the grant is offset against the carrying amount of the asset, the equipment should be presented in the statement of profit or loss for the year to 31 December 20X5 and in the statement of financial position at that date as follows:

Statement of financial position

	CU
Equipment	
Cost (50 - 5)	45,000
Depreciation	(9,000)
Carrying amount	<u>36,000</u>

Statement of profit or loss

	CU
Charge: depreciation	9,000

Under the **deferred income method** the grant and the equipment should be presented in the statement of profit or loss for the year to 31 December 20X5 and in the statement of financial position at that date as follows:

Statement of financial position

	CU
Equipment Cost	50,000
Depreciation	(10,000)
Carrying amount	<u>40,000</u>
Deferred income - non-current	3,000
Deferred income - current (the amount to be recognised in profit or loss in 20X6)	<u>1,000</u>
	<u>4,000</u>

(Total deferred income = 5,000 grant less 1,000 recognised in profit or loss = 4,000)

Statement of profit or loss

Charge: Depreciation	CU10,000
Credit: Deferred income	CU1,000

Notes

- 1 There are less likely to be impairment issues if the grant has been deducted from the cost of the asset as this reduces the carrying amount. In addition, the financial statements will be less comparable with those of a similar entity that has not received government assistance.
- 2 Deferred income (recognised when using the deferred income method) should be split between current and non-current portions for disclosure purposes.



Interactive question 12: Grants related to assets: Deferred income method

An entity purchased a new item of machinery for CU320,000 on 1 January 20X7. It will depreciate this machinery at 25% pa on the reducing balance basis, as this most closely resembles the pattern of benefits receivable from the asset. Also on 1 January 20X7, a government grant of CU160,000 was received to help finance this machinery.

Requirement

Show the amounts to be recognised in profit or loss for the year ended 31 December 20X7 if the entity uses IAS 20's deferred income method for government grants.

See **Answer** at the end of this chapter.

8.4.4 Grants related to income

Government grants related to income are defined as those not related to assets and can be presented in two ways:

- a credit in profit or loss (either separately, or under a general heading such as 'other income'); or
- a deduction from the related expense.

Treating the grant as a deduction from the related expense (the net treatment) results in the statement of profit or loss being less comparable with those of similar entities that have not received such grants. This treatment may also lead to the particular category of expenditure being excessively low in one year, or in comparison with other categories of expenditure during that period. Disclosure of grants received will therefore be important to assist comparison and understanding (see section 8.6).

8.5 Other issues

8.5.1 Conditions and compensation

There may be a **series of conditions** attached to a grant. An entity must take care to identify precisely those conditions which give rise to costs which in turn determine the periods over which the grant will be earned. When appropriate, **the grant should be split and the parts allocated on different bases**.

An entity may receive a grant as compensation for expenses or losses which it has **already incurred**. Alternatively, a grant may be given to an entity simply to provide immediate financial support where no future related costs are expected. In cases such as these, the grant should be recognised in profit or loss in the period in which it becomes receivable.

Note: If it is possible that one or more of the conditions attaching to the grant will not be met, a contingent liability should be disclosed. If it turns out that one or more has not been met, then a provision should be recognised for the amount repayable.

8.5.2 Non-monetary government grants

A non-monetary asset may be transferred by government to an entity as a grant, for example a piece of land, or other resources. The **fair value** of such an asset is usually assessed and this is used to account for both the asset and the grant. Alternatively, both may be valued at a nominal amount.

8.5.3 Repayment of government grants

A government grant that becomes repayable should be accounted for as a change in an accounting estimate (see IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors).

Repayment of a grant related to income should be applied in the following order:

- It should be recognised against any **unamortised deferred credit** set up in respect of the grant.
- To the extent that the **repayment exceeds any such deferred credit**, or **where no deferred credit exists**, the repayment should be **recognised immediately as an expense**.

Repayment of a grant related to an asset should be recognised by either:

- increasing the carrying amount of the asset; or
- reducing the deferred income balance by the amount repayable.

The cumulative additional depreciation that would have been recognised to date as an expense in the absence of the grant should be recognised immediately as an expense.



Interactive question 13: Grant recognition

Determine if the following grants should be recognised and, if so, the period over which they should be recognised in profit or loss:

- (a) A cash grant is available to private child nurseries to spend on toys in urban regeneration areas that qualify for such support. The only condition attaching to the grant is that the money should be spent immediately.
- (b) A company operating in the medical technology industry receives a grant of CU1 million when it creates 50 jobs for technology graduates or apprentices. CU0.5 million is payable when the figure is reached with the remaining CU0.5 million payable at the end of four years should the 50 jobs still be in existence. There is reasonable assurance that the employment levels will be maintained when reached.
- (c) Free testing equipment is available to new motor emission businesses being set up in a region that qualifies for special government support.
- (d) A government department offers a grant in the form of free technical advice to entities setting-up businesses overseas to help export growth.

See **Answer** at the end of this chapter.

8.6 Disclosure

The disclosure requirements in IAS 20 help a user of the financial statements to understand the extent and effect of government grants on an entity during a particular period.

The following matters should be disclosed:

- the accounting policy adopted for government grants, including the methods of presentation;
- the nature and extent of government grants recognised in the financial statements;
- an indication of other forms of government assistance from which the entity has directly benefited; and

- unfulfilled conditions and other contingencies attaching to government assistance that have been recognised.

8.7 Relevance of information for users

Users will wish to be aware of any significant amounts of government grants received so that they can:

- take account of the effect on financial performance and position if further grants are not to be received in future periods; and
- compare the financial performance and position of a grant-receiving entity with that of an entity not eligible for grants.

The disclosures required by IAS 20 are very useful in this respect, particularly those in respect of the deferred income method of accounting for capital grants.

9 Ethical and judgement issues



Section overview

Professional judgement is required in the assessment of the validity and measurement of provisions in the financial statements. IAS 37 provides guidance, but the professional accountant needs to be aware of the potential issues which can occur, particularly around the measurement of the best estimate of the provision and ensuring that the provision is only used for the purpose intended. The recoverability and proper use of government grants is another area in which questions on ethics may be asked.

The standards in this chapter are subject to a degree of estimation and 'best information available at the time'. The professional accountant will need to ensure that the information provided in the financial statements meets the requirements of IFRS Standards, as well as the ICAB Code of Ethics (eg, is the information prepared to the best of management's abilities and are they maintaining their objectivity in a given situation rather than being affected by a conflict of interest, such as meeting the target for a bonus).

9.1 IAS 37, Provisions, Contingent Liabilities and Contingent Assets

This is an area of judgement required by the preparers of the financial statements. A degree of professional scepticism will need to be applied when considering the recognition of provisions and the validity of the calculations, especially where outcomes are not certain, such as legal cases and provisions for future costs (warranties on products, decommissioning costs). Question any changes in assumptions or bases of estimation used by management to test that the information is as robust as possible.

The application of the principles of IAS 37 in setting up and revising the amounts of provisions requires a great deal of **estimation and judgement** on the part of management. This is an area where it is vital that clear and comprehensive policies and procedures are laid down and then applied consistently from one period to another.

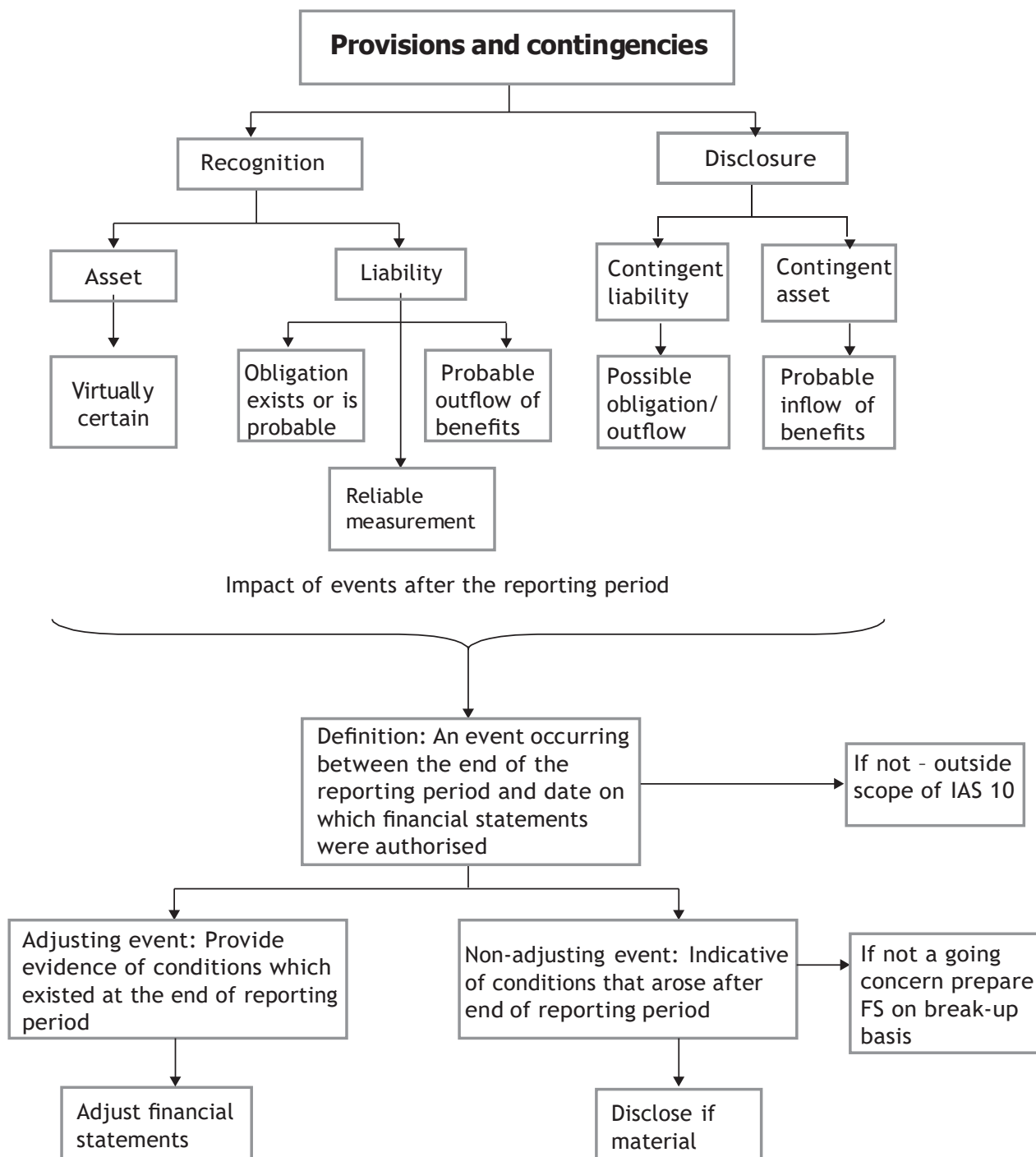
Even then, the carrying amounts of provisions are estimates of the effect of uncertain future events, so it is entirely legitimate for different people to take different views. The important objective is to make estimates which are neutral in terms of the information provided, rather than designed to achieve a predetermined profit or net asset figure.

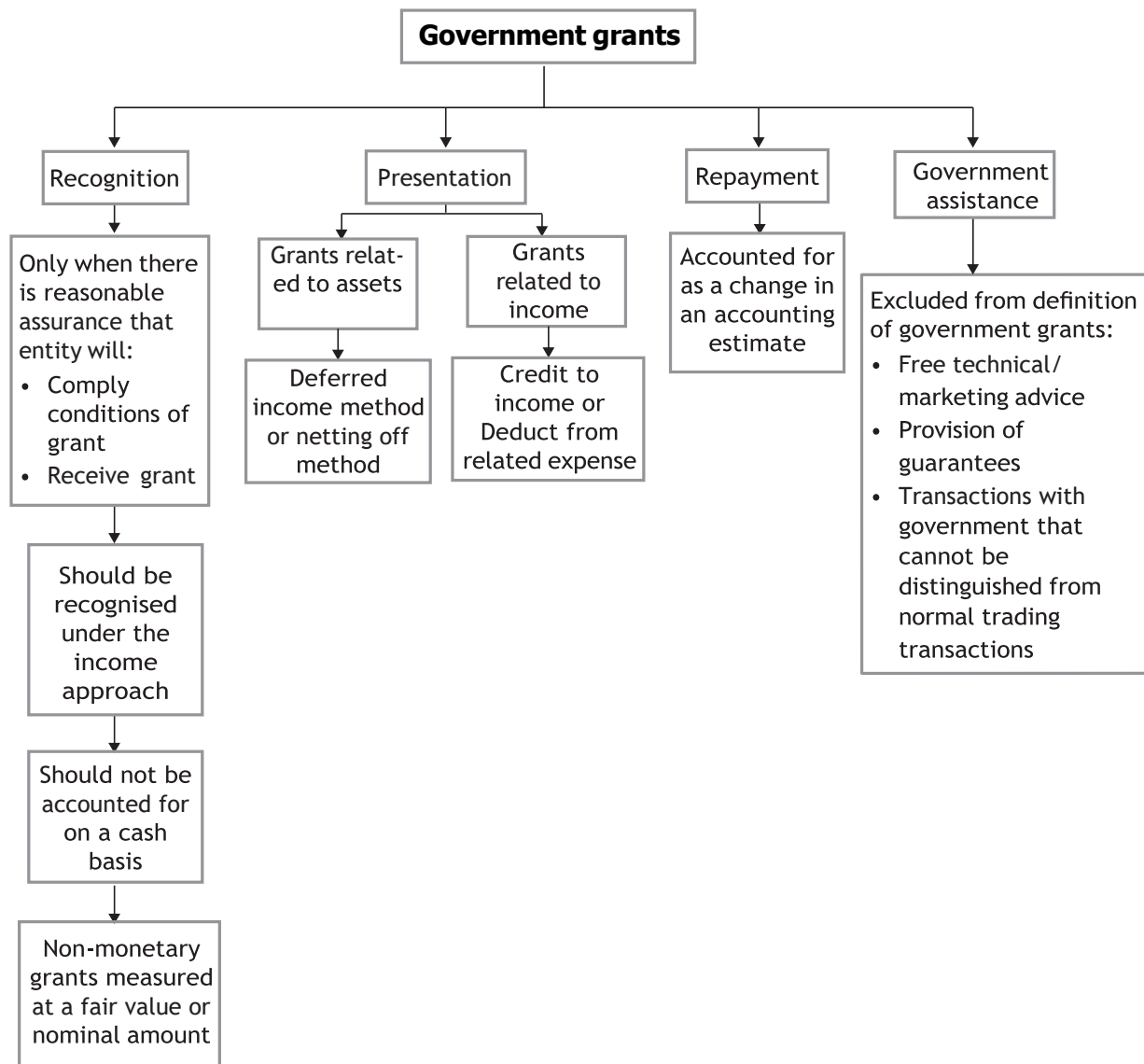
9.2 IAS 20, Accounting for Government Grants and Disclosure of Government Assistance

IAS 20 is one of the more straightforward reporting standards. Management judgement is only required in limited circumstances, such as:

- Whether to account for non-monetary grants at fair value or at a nominal amount.
- How to deal with a grant to offset the costs of a project if the project involves both capital and revenue expenditure. Some allocation to the different components would be appropriate, because it is likely that the two types of expenditure will be recognised in profit or loss over different periods.

Summary





Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you know the definition of a provision and can you explain the criteria required to recognise a provision in the financial statements? (Topic 2)
2.	Can you explain what is meant by 'a probable outflow of resources' and how to calculate an expected value using probabilities? (Topic 2 and Topic 3)
3.	Do you understand when and how to discount a provision using an appropriate discount rate? (Topic 3)
4.	Can you explain the criteria required for making a restructuring provision? (Topic 4)
5.	How does a provision differ from a contingent liability? (Topic 6)
6.	What events which have occurred after the end of the reporting period should be recognised in the financial statements? (Topic 7)
7.	Can you explain the treatment for a government grant, in particular, the methods for accounting for a grant associated with a non-current asset? (Topic 8)

2 Question practice

Aim to complete all the self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Laurel plc	This question tests your understanding of IAS 10, Events After the Reporting Period as it asks you to identify from the scenarios which ones would be adjusting events in accordance with IAS 10.
Construction plc	This is a good question to check you can explain in clear language the correct accounting treatment for two scenarios regarding IAS 37.
Delta Ltd	A numerical question regarding provisions, including discounting.
VACS Ltd	This question is useful to check your understanding of several topics covered in this chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Norland Ltd (part 2 only)	This question contains a provision requiring discounting (part 2 only).
Ticktoe Ltd (part 1 only)	This question includes three different government grant scenarios for which you must explain the correct accounting treatment.
Chayofa Ltd	In this question, you must explain the accounting treatment for four different issues, including a provision and an event after the reporting period.
Ansellia Ltd	This question includes two different provisions and in part (c), you are required to prepare a provisions note showing the movement on these provisions in during the year and the accompanying narrative.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

Note: All of IAS 10, IAS 37 and IAS 20 are examinable. The paragraphs listed below are the key references you should be familiar with.

1 Provisions – recognition

- Provisions are liabilities of uncertain timing or amount – **IAS 37 (10)**
- A liability is a present obligation of the entity to transfer an economic resource as a result of past events – **Conceptual Framework (4.26)**
- A provision is recognised only when all of the following are met at the end of the reporting period:
 - The entity has a present obligation (legal or constructive) as a result of a past event
 - It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation
 - A reliable estimate can be made of the amount of the obligation – **IAS 37 (14)**
- There is a useful decision tree in Appendix B – **IAS 37 (App B)**

2 Provisions – measurement and use

- Measure at best estimate of expenditure required to settle obligation at reporting date – **IAS 37 (36)**
- Discount where material – **IAS 37 (45)**
- Do not take into account gains from expected disposal of assets – **IAS 37 (51)**
- Treat reimbursements as separate assets, recognised only where virtually certain, and only up to amount of provision – **IAS 37 (53)**
- Expense in profit or loss may be shown net of reimbursement – **IAS 37 (54)**
- Review provisions at each reporting date and adjust to current best estimate – **IAS 37 (59)**
- Use a provision only for the expenditures for which it was created – **IAS 37 (61)**

3 Provisions – specific applications

- Do not provide for future operating losses – **IAS 37 (63)**
- Provide for unavoidable costs of meeting onerous contracts – **IAS 37 (66)**
- Treatment of onerous lease contracts – **IAS 37 (5)**
- Provide for restructuring only where legal or constructive obligation exists at reporting date, and provision covers only costs:
 - Necessarily entailed by restructuring; and
 - Not associated with ongoing activities – **IAS 37 (72 and 80)**
- No obligation arises on sale of an operation until there is a binding sale agreement – **IAS 37 (78)**
- A useful set of examples is given in Appendix C – **IAS 37 (App C)**

4 Disclosures

- Disclosure for each class of provision – **IAS 37 (84-85)**
- Disclosure for contingent liability – **IAS 37 (86)**

5 Contingent liabilities

- A contingent liability is either:
 - a possible obligation arising from past events whose existence will be confirmed only by uncertain future events not wholly within the entity's control; or
 - a present obligation arising from past events not recognised because an outflow of resources embodying economic benefit is not probable or amount cannot be measured reliably - **IAS 37 (10)**
- Do not recognise contingent liabilities but disclose unless possibility of outflow is remote - **IAS 37 (27 and 86)**

6 Contingent assets

- A contingent asset is a possible asset arising from past events whose existence will be confirmed only by uncertain future events not wholly within the entity's control - **IAS 37 (10)**
- Do not recognise contingent assets but disclose where inflow is probable (ie, more likely than not) - **IAS 37 (31 and 89)**

7 Events after the reporting period

- Events after the reporting period are events occurring between the end of the reporting period and date of authorisation of the financial statements. Two categories are:
 - Adjusting events, which provide evidence of conditions existing at the end of the reporting period
 - Non-adjusting events, which are indicative of conditions arising after the end of the reporting period - **IAS 10 (3)**
- Financial statements are adjusted for:
 - Adjusting events - **IAS 10 (8)**
 - Non-adjusting events that indicate that going concern assumption is not appropriate - **IAS 10 (14)**
- Disclose, without adjustment, material non-adjusting events which could affect users' economic decisions taken on the basis of the financial statements - **IAS 10 (21)**
- Disclose date on which the financial statements are authorised for issue - **IAS 10 (17)**

8 Government grants

Treatment

- Should only be recognised if reasonable assurance that:
 - Entity will comply with conditions
 - Grant will be received - **IAS 20 (7)**
- Manner in which received does not affect accounting method adopted - **IAS 20 (9)**
- Should be recognised in profit or loss over periods necessary to match with related costs - **IAS 20 (12)**
- Grants should not be accounted for on a cash basis - **IAS 20 (16)**
- Grants in recognition of specific expenses recognised in profit or loss in same period as expense - **IAS 20 (17)**
- Grants related to depreciable assets usually recognised in proportion to depreciation - **IAS 20 (17)**

- Grants related to non-depreciable assets requiring fulfilment of certain obligations recognised in profit or loss over periods which bear the cost of meeting obligations – **IAS 20 (18)**
- Grant received as compensation for expenses already incurred recognised in profit or loss in period in which receivable – **IAS 20 (20)**
- Non-monetary grants should be measured at fair value or at nominal amount – **IAS 20 (23)**

Presentation of grants related to assets

- Can be presented in the statement of financial position by:
 - setting up the grant as deferred income; or
 - netting it off against the carrying amount of the asset – **IAS 20 (24)**

Presentation of grants related to income

- Either:
 - recognised in profit or loss separately or under a general heading; or
 - deducted in arriving at the amount of the related expense recognised in profit or loss – **IAS 20 (29)**

Repayment of government grants

- Accounted for as a change in an accounting estimate – **IAS 20 (32)**

Government assistance

- The following forms of government assistance are excluded from the definition of government grants:
 - Assistance which cannot reasonably have a value placed on it
 - Transactions with government which cannot be distinguished from the normal trading transactions of the entity – **IAS 20 (34-35)**

Disclosures

- Required disclosures – **IAS 20 (39)**

Self-test questions

Answer the following questions.

1 Robin plc

The directors of Robin plc (year end 31 December 20X6) were informed on 27 February 20X7 that a serious fire at one of the company's factories had stopped production there for at least six months to come. On 3 March 20X7 the directors of Robin plc were informed that a major customer had gone into liquidation. The directors of Robin plc had been aware that the customer was in financial difficulties at the year end and had recognised an allowance accordingly. The liquidator was pessimistic about the prospect of recovering anything for unsecured creditors. The financial statements for the year ended 31 December 20X6 were authorised for issue on 20 March 20X7.

Requirement

In accordance with IAS 10, Events After the Reporting Period how should the two events be treated in the financial statements?

2 IAS 10

The following events took place between the end of the reporting period and the date on which the financial statements were authorised for issue.

Which event should be classified as an adjusting event in accordance with IAS 10, Events After the Reporting Period?

- A The discovery of a fraud that shows the financial statements were incorrect
- B The acquisition of a subsidiary
- C A rights issue
- D A dramatic fall in the value of a foreign investment due to movements in the exchange rate

3 Brick, Cement and Mortar

Brick Ltd, Cement Ltd and Mortar Ltd are independent companies, each with a year end of 31 December. Each company is owed a substantial amount by Ladder Ltd. The debts arose on the following dates.

Brick Ltd	20 December 20X1
Cement Ltd	20 January 20X2
Mortar Ltd	25 January 20X2

On 31 January 20X2 Ladder Ltd went into liquidation, and on 2 February 20X2, as a result of the amount which Ladder Ltd owed to it, Mortar Ltd went into liquidation.

Requirement

By which company/companies will Ladder Ltd's default be regarded as an event requiring adjustment under IAS 10, Events After the Reporting Period?

4 Laurel plc

The directors of Laurel plc are reviewing the draft statement of financial position at 31 December 20X2. The following events after the reporting period have been identified.

- (1) On 1 February 20X3 a fraud perpetrated by the accounts receivable controller was discovered. Receivables recorded in November 20X2 were overstated by CU30,000.
- (2) Property, plant and equipment with a carrying amount of CU25,000 was destroyed by a fire on January 20X3. No insurance recovery is expected.
- (3) A claim brought by a customer which was under negotiation at the end of the reporting period was settled in court on 12 January 20X3. A payment of CU20,000 in full settlement was made on 24 January 20X3.

Requirement

Which of these events would be regarded as an adjusting event according to IAS 10, Events After the Reporting Period?

5 Porter plc

Porter plc is finalising its financial statements for the year ended 30 September 20X3.

A former employee of Porter plc has initiated legal action for damages against the company after being dismissed in October 20X3. Porter plc's legal advisers feel that the employee will probably win the case and have given the company a reasonably accurate estimate of the damages which would be awarded. Porter plc has not decided whether to contest the case.

Requirement

Explain, in accordance with IAS 10, Events After the Reporting Period, how should this item be classified in the financial statements of Porter plc for the year ended 30 September 20X3?

6 Westbridge plc

Westbridge plc has constructed a power plant for a utility company. Under the terms of the contract Westbridge plc must repair free of charge any faults that arise in the plant during its first five years of operation.

The best estimate of any repair is six days at CU100,000, giving a total of CU600,000. But there is a significant chance that the first repair attempt will not succeed and further repair attempts will need to be made.

Requirement

Explain, in accordance with IAS 37, Provisions, Contingent Liabilities and Contingent Assets how should Westbridge plc decide what amount should be accrued in the financial statements?

7 Construction plc

Construction plc was awarded a contract to build a tunnel under the Thames by a government department. Construction plc delegated some aspects of the contract to other companies. One of the sub-contractors, Underwater Ltd, was negligent in the performance of its contract with Construction plc, which caused delay in the completion of the tunnel.

As a result of the delay, the government department is claiming damages of CU10 million against Construction plc. In turn, Construction plc has commenced proceedings against Underwater Ltd. The lawyers have advised Construction plc that both actions are likely to be successful.

Requirement

In accordance with IAS 37, Provisions, Contingent Liabilities and Contingent Assets how should Construction plc account for the legal claims?

8 Intrepid plc

As a result of new banking regulations, Intrepid plc will need to retrain a large proportion of its financial services division in order to ensure continued compliance with banking regulations. At the end of the reporting period no retraining of staff has taken place. However, the head of the financial services division has announced that he is committed to a completion of the retraining programme by the end of the following year.

Carefree plc is also subject to the same banking regulations. By the end of the reporting period Carefree plc has contracted a training organisation to undertake the retraining programme with a start date of 15 January, two weeks after the reporting period. Staff have been notified of their training session dates.

Requirement

In accordance with IAS 37, Provisions, Contingent Liabilities and Contingent Assets how should each company account for the cost of retraining their staff?

9 Delta Ltd

On 1 January 20X2 Delta Ltd began working a new mine. Legislation requires the owner to restore any environmental damage at the end of the three-year licence. The cost of restoration includes:

- (1) The replacement of the landscape, which had to be removed before mining could commence. The restoration cost is estimated at CU6 million.
- (2) Damage created by the mining process. Experts estimate that the total cost of this damage will be CU3 million.
- (3) The company calculates that the rate which reflects the time value of money and the risks specific to the liability is 10%.

Requirement

What provision for environmental remediation should be created at 31 December 20X2 in accordance with IAS 37, Provisions, Contingent Liabilities and Contingent Assets?

10 Grants

A government grant related to income can be credited to profit or loss or deducted from the related expense.

Requirement

What are the possible disadvantages of treating the grant as a deduction from the expense?

11 Hausbuild Ltd

Hausbuild Ltd, a housebuilding company receives a government grant to provide social housing as part of its new development. Under the terms of the grant 10% of the dwellings must be social housing. The construction is expected to take three years.

Requirement

How should the conditions attached to the grant be reflected in the accounting treatment?

12 Sacramento plc

Sacramento plc purchased an item of machinery for CU500,000 on 1 April 20X5 at which time it received a government grant of 20% of the cost of the machinery. The machinery is being depreciated at 25% pa on the reducing balance basis.

Requirement

Show how the machinery and the grant should be presented in the financial statements for the year ended 31 March 20X7 using the deferred income method.

13 Vacs Ltd

Vacs Ltd is a manufacturing company which prepares financial statements to 30 September each year. Before the draft financial statements for the year ended 30 September 20X3 can be finalised and approved by the directors, the following points need to be addressed. Draft net assets at 30 September 20X3 were CU2 million.

- (1) Vacs Ltd has renewed the unlimited guarantee given in respect of the bank overdraft of a company in which it holds a significant investment. That company's overdraft amounted to CU300,000 at 30 September 20X3 and it has net assets of CU1 million.
- (2) A former director, who was dismissed from the company's service on 1 September 20X3 for acting outside his authority, has given notice of his intention to claim substantial damages for loss of office. On 1 November 20X3 a claim was received for CU150,000. The company's legal advisers have been negotiating with the former director and believe that the claim will probably be settled at CU100,000.
- (3) On 15 November 20X3 the company sold its former head office building, Whitley Wood, for CU2.7 million. At the end of the reporting period the building was unoccupied and Vacs Ltd had not intended to sell the property for at least another year. The building's carrying amount (based on cost less accumulated depreciation) was CU3.1 million at the end of the reporting period.
- (4) At 1 October 20X2 Vacs Ltd took out a three-year lease on a piece of land on which it erected temporary buildings to house some of its manufacturing processes. The right-of-use asset was initially measured at CU675,000. At the end of the three-year period the buildings will have to be removed and the land restored to grassland. The cost of carrying out this work had a present value at 1 October of CU274,000. The appropriate discount rate is 8%. The lease on the land has not yet been accounted for.

Requirements

- 13.1 Explain the definition of a liability from the IASB Conceptual Framework in the context of accounting for provisions and contingencies.
- 13.2 Prepare extracts from the statement of financial position of Vacs Ltd as at 30 September 20X3, including any relevant notes to the statement.

14 Proviso plc

Proviso plc is organised into several divisions. The following events relate to the year ended 31 December 20X2.

- (1) The business technology division supplied a networked computer system to a customer during the year part of which exploded, causing a fire. Proviso plc is being sued for damages. Lawyers have advised that there is a 30% chance of successfully defending the claim. Otherwise, the damages are expected to cost CU10 million (present value CU9.5 million). The lawyers have investigated the cause of the problem with a team of accident consultants. They have concluded that parts supplied to the business technology division by Moor Ltd contributed to the fire. Lawyers have estimated that Moor Ltd's contributory negligence amounted to 40% of the total damages. Negotiations have started with Moor Ltd and the lawyers believe that a claim is likely to succeed.
- (2) On 15 December 20X2, the directors of Proviso plc minuted their decision to close the operations of the loss making medical technology division. The decision and an outline of a plan were immediately announced to employees and a press release was issued. The closure, which began on 4 January 20X3, has an estimated date for completion, including the sale of the non-current assets of the division, of 30 June 20X3. The costs associated with the closure include the following.

	CU'000
Employee redundancy costs	12,000
Lease termination costs	4,000
Relocating continuing staff to other divisions	3,000
Impairment losses	2,000
	<u>21,000</u>

- (3) Proviso plc's retail division provides one-year standard warranties to its customers. Experience has shown that, on average, 10% of sales from this division result in a warranty claim. Revenue from this division in 20X2 was CU8 million. At 1 January 20X2 Proviso plc had a warranty provision in place of CU1 million. During the year claims of CU600,000 were settled by the company.

Requirement

Prepare the provisions and contingencies notes for the financial statements of Proviso plc for the year ended 31 December 20X2.

15 Fordham Ltd

Fordham Ltd received a government grant to cover 20% of the cost of purchasing a carbon-neutral asset for use in its manufacturing facility. The asset has a fair value of CU90,000 and a three-year life. Annual profits before accounting for depreciation on the asset are expected to be CU60,000 for each of the three years.

Requirements

Show the effect on the statement of financial position and on profit or loss for each of the three years if the grant is accounted for by:

- (a) deducting it from the cost of the asset; and
- (b) Treating it as deferred income.

Total: 10 marks

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

The expected cost of repairs will be:

$$(80\% \times 0) + (15\% \times 100) + (5\% \times 500) = \text{CU}40,000$$

Answer to Interactive question 2

The amount to be provided at 31 December 20X8 is based on the initial estimate of CU1.2 million, discounted at the relevant discount rate of 9% for ten years.

The amount to be provided at 31 December 20X9 is therefore the present value of CU1.2 million, discounted at the relevant discount rate for nine years.

The difference is the finance cost to be recognised in the year ended 31 December 20X9:

		CU
Provision at 31 December 20X8	CU1.2m/1.09 ¹⁰	506,893
Finance cost - 506,893 × 9%		45,620
Provision at 31 December 20X9	CU1.2m/1.09 ⁹	552,513

Answer to Interactive question 3

3.1 The contract having been signed, there is a present obligation arising out of past events to pay the unavoidable costs under the contract.

3.2 Amounts recognised in respect of the contract

Unavoidable cost - lower of		
Cost of fulfilling the contract		Penalties from failure to fulfil the contract
Take deliveries of silk and scrap it		Stop silk deliveries and pay penalties
Costs (300m × CU18 × 2 months)	CU10,800	Penalties (CU2,400 × 2 months) = CU4,800
Take deliveries of silk and make and sell scarves		
Revenue (300m × CU28 × 2 months)	CU16,800	
Costs (300m × (CU18 + CU16)) × 2 months)	CU20,400	
Loss	CU3,600	

Therefore, the lowest unavoidable cost is CU3,600.

This should be recognised as a provision in the statement of financial position and as an expense in profit or loss.

Disclosure notes will give a brief description of the circumstances and of the obligation as well as an indication of the uncertainties about the timing of payments, amounts and assumptions.

Answer to Interactive question 4

When the overburden is removed, the company has yet to realise the economic benefits from extraction of the rock. However, the removal of the overburden is a past event giving rise to an obligation. Therefore, a provision for restoration costs is recognised at this point.

The present value of the provision is calculated:

$$\text{CU}10\text{m} \times 1.08^5 = \text{CU}6,810,000$$

	CU	CU
DRNon-current asset	6,810,000	
CRProvision		6,810,000

The debit entry is added to the non-current asset for the cost of establishing the quarry rather than being expensed immediately. The cost is recognised in profit or loss as the asset for the establishment of the quarry is depreciated over its life.

Cost of quarry is CU50m + CU6.81m = CU56.81m Depreciation of CU56.81m/5 years = CU11.362m pa

Carrying amount at year end (56.81m – 11.362m) is CU45.448 million

Each year, the discount on the provision is 'unwound'. This is done by multiplying the balance on the provision by the discount rate. The resulting finance charge is debited to profit or loss and credited to the provision balance. At the end of year 5, the provision balance is therefore CU10 million, as shown in the table below.

Year	Brought forward CU	Finance charge CU	Carried forward CU
1	6,810,000	544,800	7,354,800
2	7,354,800	588,384	7,943,184
3	7,943,184	634,545	8,577,729
4	8,577,729	686,219	9,263,948
			10,005,064
			(rounding due to 3dp on discount factor)
5	9,263,948	741,116	

Answer to Interactive question 5

The correct answers are:

- B As A above except that the board agreed a detailed closure plan on 20 December 20X9 and details were given to customers and employees.
- C A company is obliged to incur clean up costs for environmental damage (that has already been caused).
- A No provision would be recognised as the decision had not been communicated by the end of the reporting period.

- B** A provision would be made in the 20X9 financial statements as the communication to the employees creates an obligation.
- C** A provision for such costs would be made as the damage has already been caused.
- D** No present obligation exists and under IAS 37 no provision would be appropriate. This is because the entity could avoid the future expenditure by its future actions, maybe by changing its method of operation.

Answer to Interactive question 6

Circumstance	Position under IAS 37
A contract of employment.	Obligations still have to be performed by both parties, so it is an executory contract. As there is no indication that it is an onerous contract, it falls outside the scope of IAS 37.
A legal claim being pursued by an entity. The entity's lawyers believe it is probable that the entity will receive damages in relation to the claim.	There is a possible asset and as the claim is being pursued, it must arise from past events. So this is a contingent asset. As it is probable that the entity will receive economic benefits in relation to this claim, the contingent asset should be disclosed in the entity's financial statements.
A legal claim being pursued against an entity. The claim has gone to court but at this stage, the entity's lawyers are unsure as to whether the claim will be successful.	There is a possible obligation and as the claim is being pursued, it must arise from past events. The obligation is dependent on the outcome of the court case, which is uncertain and not within the control of the entity, therefore this is a contingent liability and should be disclosed in the financial statements.
A legal claim against an entity where the entity has accepted liability but the amount to be paid has not yet been agreed.	Liability has been admitted so the obligation exists and arises from past events. A provision should be made based upon the best estimate of the amount to be paid.
Legislation enacted but coming into effect next year which will require substantial retraining of staff.	The obligation arises from future events (the legislation comes into force in the future) and both provisions and contingent liabilities require the obligation to arise from past events. No provision should be made.
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity's published policy in relation to environmental protection is that it will offset any environmental damage caused by its activities.	There is a constructive obligation. As it relates to activities that have already been undertaken, a provision should be made. No provision should be recognised in respect of planned future activities.

Circumstance	Position under IAS 37
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity has no published policy in relation to offsetting environmental damage and this is the first time the entity has considered carbon offsetting.	There is no obligation. No provision should be made.
Restructurings where the detailed plan has been developed, announced and agreed with employees' representatives.	There is a constructive obligation. A provision should be made.
Restructurings where the detailed plan has been developed and announced.	There is a constructive obligation. A provision should be made.
Restructurings where the detailed plan has been developed and agreed by the board, but no announcement has been made.	There is no obligation as the board could reverse its decision and not announce it. No provision should be made.
Future reinstatement work under guarantees to be provided to customers in relation to future sales	The obligation arises from future sales, therefore there is no present obligation and no provision should be made.

Answer to Interactive question 7

Circumstance	Application of IAS 37
A legal claim in relation to a past event is pursued against an entity over several years. The entity makes the following judgements about outflows of resources in settlement: Year 1: there will be no outflow Year 2: an outflow is remote Year 3: an outflow is possible Year 4: an outflow is probable Year 5: an outflow is virtually certain	This claim may result in the existence of a liability Year 1: neither recognition nor disclosure Year 2: neither recognition nor disclosure Year 3: contingent liability disclosed Year 4: provision recognised Year 5: provision retained
A legal claim in relation to a past event is pursued by an entity over several years. The entity makes the following judgements about inflows of resources in settlement: Year 1: there will be no inflow Year 2: an inflow is remote Year 3: an inflow is possible Year 4: an inflow is probable Year 5: an inflow is virtually certain	This claim may result in the existence of an asset Year 1: neither recognition nor disclosure Year 2: neither recognition nor disclosure Year 3: neither recognition nor disclosure Year 4: contingent asset disclosed Year 5: asset recognized

Answer to Interactive question 8

Situation 1

At the end of the reporting period, Conditional disputes liability (and therefore whether a present obligation exists).

However, the lawyer's advice is that it is more likely than not that Conditional will be found liable. A present obligation should be assumed to exist (IAS 37: paras. 15-16).

Given that a single obligation is being measured, a provision is made for the outflow of the most likely outcome (IAS 37: para. 40).

Consequently a provision should be recognised for CU20,000 court costs and damages + CU80,000 repair costs = CU100,000.

Situation 2

A present obligation exists at the end of the reporting period based on historical evidence of items being repaired under the guarantee agreement.

Here, a large population of items is involved. A provision should therefore be recognised for the expected value of the outflow:

	CU
$15,000 \times 5\% \times 1/3 \times \text{CU}100$	25,000
$15,000 \times 5\% \times 2/3 \times \text{CU}300$	150,000
	<u>175,000</u>

Answer to Interactive question 9

The cracks in the walls are clear evidence of a change in the building's condition.

The specialist professionals have provided their opinion that the problems must have arisen several years ago (not since the year end), thus providing evidence as to the building's condition at the end of the reporting period.

The draft financial statements should be adjusted to take account of this change in condition. A full impairment review under IAS 36, Impairment of Assets should be carried out and any impairment loss should be recognised in the June 20X8 financial statements.

Note: It is highly likely that expenditure on repairs will be needed in the 30 June 20X9 financial year to rectify the damage and that the cost may be significant. But no provision for these repairs should be recognised at 30 June 20X8. There is a past event (the faults now identified) but at the end of the reporting period there is no obligation to incur the expenditure on repairs; so no provision should be recognised.

Answer to Interactive question 10

The reduction in selling price is evidence of the inventory's net realisable value at the end of the reporting period. It is therefore an adjusting event.

The net realisable value of the inventory is $(\text{CU}605 - \text{CU}100) \times 4,000 = \text{CU}2,020,000$.

The inventory is currently measured at a cost of $\text{CU}550 \times 4,000 = \text{CU}2,200,000$, so it should be written down to the lower amount.

Answer to Interactive question 11

The grant should be recognised in the same proportion as the depreciation.

(a) Straight line

Year		Depreciation expense	Grant recognised in profit or loss
		CU	CU
1	(40 ÷ 4) and 50% thereof	10,000	5,000
2	(40 ÷ 4) and 50% thereof	10,000	5,000
3	(40 ÷ 4) and 50% thereof	10,000	5,000
4	(40 ÷ 4) and 50% thereof	10,000	5,000

(b) Reducing balance

Year		Depreciation expense	Grant recognised in profit or loss
		CU	CU
1	(40 × 40%) and 50% thereof	16,000	8,000
2	((40 - 16) × 40%) and 50% thereof	9,600	4,800
3	((40 - 16 - 9.6) × 40%) and 50% thereof	5,760	2,880
4	(remainder)	8,640	4,320

Answer to Interactive question 12

As the grant is half of the cost of the asset, then the credit in respect of deferred income will be half of the annual depreciation charge.

The depreciation charge for the year ending 31 December 20X7 is CU320,000 × 25% = CU80,000. The release of deferred income from the grant in 20X7 (50% × depreciation) is 50% × CU80,000 = CU40,000.

Alternative calculation:

Deferred income released CU160,000 × 25% = CU40,000.

Answer to Interactive question 13

- (a) This is a cash grant, so it ranks as a government grant which should be recognised. As it is given as immediate financial support to the entity, it should be recognised in profit or loss immediately.
- (b) This is a government grant which should be recognised.
CU0.25 million should be recognised in profit or loss for each year from the date the grant becomes receivable (when 50 jobs have been created). This matches the grant with the related costs. Because this does not match the cash receipts, deferred income and a receivable will appear in Years 1 and 3 respectively.
- (c) This is a grant of a non-monetary asset. The usual treatment would be to account for both grant and the asset at the fair value of the equipment and recognise the grant in profit or loss over the period the asset is depreciated.
- (d) Free technical advice is likely to be a grant which cannot reasonably have a value placed upon it. As a result it should not be recognised.

Answers to Self-test questions

1 Robin plc

The fire is a non-adjusting event but should be disclosed in the notes, as it is material by nature. The liquidation is an adjusting event, as it gives additional information about the recoverability of a trade receivable balance.

2 IAS 10

The correct answer is:

A The discovery of a fraud that shows the financial statements were incorrect

Only A, the discovery of the fraud, affects the conditions existing at the end of the reporting period.

3 Brick, Cement and Mortar

Adjustments will need to be made by Brick Ltd and Mortar Ltd.

(1) Brick Ltd: The debt arose before the end of the reporting period, so this would be an adjusting event.

(2) Cement Ltd: The debt arose after the reporting period, so this would be a non-adjusting event.

(3) Mortar Ltd: As for Cement Ltd, a non-adjusting event, but of such significance that Mortar Ltd is no longer a going concern. Thus adjustments will be made to the accounts.

4 Laurel plc

(1) and (3) would be regarded as adjusting events (IAS 10: paras. 9 and 22).

5 Porter plc

This is a non-adjusting event after the reporting period. The legal action does not relate to conditions existing at the end of the reporting period as the cause arose subsequently.

6 Westbridge plc

IAS 37 states that a single obligation should be measured at the best estimate of the liability; where other possible outcomes are mainly higher, then the best estimate should be a higher amount. In this case there is a significant chance that the first repair attempt will not succeed, therefore a provision for a larger amount should be made. So Westbridge should accrue an amount in excess of CU600,000 to allow for this.

7 Construction plc

The claim against Construction plc is a present obligation as a result of past events, which results in the probable outflow of resources, but the timing of the payment is uncertain. It therefore meets the definition of a provision and should be recognised as such.

The claim against Underwater Ltd represents a reimbursement of expenditure required to settle the provision; IAS 37 requires that, where it is virtually certain that a reimbursement will be received if an entity settles an obligation, the reimbursement should be recognised as a separate asset. Here lawyers have advised that both claims are 'likely' and so the virtually certain threshold is not met.

Therefore, the claim against Underwater should be disclosed as a probable contingent asset.

8 Intrepid plc

Intrepid Ltd – although the intention to retrain staff has been announced, the decision could be reversed and there is no probable outflow of resources as a result of past events. The cost of training will be recognised as an expense as and when it occurs in the following year.

Carefree Ltd – Carefree Ltd has contracted with the training organisation, which does create an obligation, but the training is due to take place in the future and does not arise as a result of past events. The cost of training will be recognised as an expense as and when it occurs in the following year.

9 Delta Ltd

The provision will be required in three years' time: Restoration cost CU6m + CU3m = CU9m

Value in today's money based on the discount factor of 10% = $9,000,000 / (1.10)^3 = 6,761,833$

	Brought forward (1 Jan)	Finance charge	Carried forward (31 Dec)
	CU	CU	CU
20X2	6,761,833	676,183	7,438,016
20X3	7,438,016	743,802	8,181,818
20X4	8,181,818	818,182	9,000,000

The double entry would be as follows:

	CU	CU
DR Non-current asset	6,761,833	
DR Finance cost	676,183	
CR Provision		7,438,016

10 Grants

Treating the grant as a deduction from expense will reduce the amount of that expense category for the year and may make it appear excessively low compared to other expense categories. This may also reduce comparability with similar entities that have not received grants. If this method is used it will be important to disclose the receipt of the grant in the notes so that users are fully informed.

11 Hausbuild Ltd

An entity receiving such a grant should identify precisely those conditions which give rise to costs. This will determine the period over which the grant is earned and it may be necessary to split the grant and allocate parts on different bases.

In this case there will be a cost associated with building social housing which will be less profitable than private housing. If social housing plots are inserted at different phases of the development, then the grant should be split among these plots and recognised as each of them are completed.

If it appears possible at any time that one or more of the social housing plots will not be provided, then a contingent liability for repayment of that proportion of the grant must be disclosed. If it is probable that one or more plots will not be built, then a provision should be recognised.

12 Sacramento plc

Note that 20X7 is the second year of the asset's ownership, so at 1 April 20X6 the carrying amounts of both the asset and the deferred income will have been reduced to 75% of their initial amounts.

Statement of profit or loss extract - year ended 31 March 20X7

	CU
Depreciation $((\text{CU}500,000 \times 75\%) \times 25\%)$	(93,750)
Government grant income $((\text{CU}100,000 \times 75\%) \times 25\%)$	18,750

Statement of financial position extract - as at 31 March 20X7

	CU
Non-current assets	
Machinery $(\text{CU}500,000 \times 75\% \times 75\%)$	281,250
Non-current liabilities	
Deferred income $(\text{CU}100,000 \times 75\% \times 75\% \times 75\%)$	42,187
Current liabilities	
Deferred income $(\text{CU}100,000 \times 75\% \times 75\% \times 25\%)$	14,063

13 Vacs Ltd

13.1 The Conceptual Framework defines a liability as a present obligation of the entity to transfer an economic resource as a result of past events.

For a liability to exist, three criteria must all be satisfied:

- (1) The entity has an obligation
- (2) The obligation is to transfer an economic resource
- (3) the obligation is a present obligation that exists as a result of past events

This definition can be illustrated by looking at item (2) in the question.

The claim is a present obligation because settlement of the claim can be enforced by law. Ultimately, a court will decide whether or not an outflow of resources will result.

The claim has arisen from past events because the action which gave rise to the claim (ie, the dismissal) took place before the end of the reporting period (even though the company was not aware of this claim until after the reporting period). Hence this claim potentially needs recognising as a provision (a liability of uncertain timing and amount) in the financial statements as at 30 September 20X3.

If the event had not taken place until after the reporting period then it would not arise from past events and so no liability would be recognised (though disclosure as a non-adjusting event after the reporting period may be necessary).

For the claim to be recognised it must be expected to result in an outflow of resources which can be measured reliably. IAS 37 effectively defines 'expected' as "more likely than not". Here, the claim is recognised at an amount of CU100,000 because the legal advisors believe the claim will "probably be settled at CU100,000".

If the legal advisers believed that it was unlikely that the case would succeed (ie, settlement is not probable) then the matter would not be recognised as a liability in the financial statements. However, disclosure as a contingent liability (contingent on the outcome of the future court case) would be necessary if the possibility of settlement was other than 'remote'. A contingent liability therefore arises when some, but not all, of the criteria for recognising a provision are met.

13.2 Statement of financial position as at 30 September 20X3 (extract)

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (3,100,000 + (675,000 - 225,000(W)) + (274,000 - 91,333 (W)))	3,732,667
EQUITY AND LIABILITIES	
Non-current liabilities	
Provisions (Note 1) (100,000 + 295,200)	395,920

Notes to the financial statements as at 30 September 20X3 (extracts)

(1) Provisions

Compensation claim	CU
At 1 October 20X2	-
Profit or loss charge	100,000
At 30 September 20X3	<u>100,000</u>

This provision is in respect of a claim made by a director who was dismissed on 1 September 20X3 for acting outside his authority. It represents the amount at which the company's legal advisers believe the claim will be settled.

Decommissioning provision	CU
At 1 October 20X2	274,000
Unwinding of discount (274,000 × 8%)	<u>21,920</u>
At 30 September 20X3	<u>295,920</u>

This provision is in respect of an obligation to demolish temporary buildings and restore landscape on 1 October 20X5, discounted to present value at 8%.

(2) Contingent liabilities

The company has guaranteed the overdraft in respect of a company in which it holds a significant investment. It is not considered likely that this guarantee will be called upon. That company's overdraft was CU300,000 at 30 September 20X3.

(3) Events after the reporting period

Following an offer made to the company after the reporting period, on 15 November 20X3 the company sold its former head office building for CU2.7 million, realising a loss of CU400,000. This loss will be reflected in the company's financial statements to 30 September 20X4.

WORKINGS**(1) Depreciation on the right-of-use asset**

$\text{CU}675,000 / 3 \text{ years} = \text{CU}225,000$

(2) Depreciation on the capitalised provision

$\text{CU}274,000 / 3 \text{ years} = \text{CU}91,333$

Note: In part (a) it is not essential to use item (2) in the question to illustrate. Any other appropriate example could have been used.

14 Proviso plc**Notes to the financial statements as at 31 December 20X2 (extracts) Provisions**

	Warranty provision	Compensation claim	Provision for the closure of division	Total
	CU'000	CU'000	CU'000	CU'000
At 1 January 20X2	1,000	-	-	1,000
Used in the year	(600)	-	-	(600)
Profit or loss charge (bal fig)	400	9,500	16,000	25,900
At 31 December 20X2 (W1 and W2)	<u>800</u>	<u>9,500</u>	<u>16,000</u>	<u>26,300</u>

The warranty provision is in respect of standard warranties provided to customers. The provision is based on the level of past claims.

The compensation claim provision is in respect of a claim made by a customer for damages as a result of a faulty computer supplied by the company. It represents the present value of the amount at which the company's legal advisers believe the claim is likely to be settled.

On 15 December 20X2, Proviso plc announced that it would be closing its loss making medical technology division. Details of the closure have been fully communicated to those affected. The cost of the closure, which began on 4 January 20X3, is estimated at CU16 million and completion is expected by 30 June 20X3.

Contingent assets

Proviso plc issued a claim against the supplier of the parts in respect of a compensation claim for the problems caused by the faulty computer. Lawyers have advised that this claim is likely to succeed and should amount to around 40% of the total damages (CU3.8 million).

WORKINGS

(1) Provision for closure of division

	CU'000
Employee redundancy costs	12,000
Lease termination costs	4,000
	<u>16,000</u>

Tutorial Note

The impairment losses of CU2 million would be offset against the carrying amount of the related non-current assets in accordance with IAS 36, *Impairment of Assets*.

(2) Warranty provision

CU8m × 10% = CU800,000

15 Fordham Ltd

(a) Statement of financial position

	Year 1 CU	Year 2 CU	Year 3 CU
Non-current asset (90,000 × 80%)	72,000	72,000	72,000
Accumulated depreciation (72,000 / 3)	(24,000)	(48,000)	(72,000)
	<u>48,000</u>	<u>24,000</u>	

Profit or loss

	Year 1 CU	Year 2 CU	Year 3 CU	Year 4 CU
Profit for the year	60,000	60,000	60,000	180,000
Depreciation	(24,000)	(24,000)	(24,000)	(72,000)
	<u>36,000</u>	<u>36,000</u>	<u>36,000</u>	<u>108,000</u>

(b) Statement of financial position

	Year 1 CU	Year 2 CU	Year 3 CU
Non-current asset	90,000	90,000	90,000
Accumulated depreciation (90,000 / 3)	(30,000)	(60,000)	(90,000)
	<u>60,000</u>	<u>30,000</u>	<u>-</u>
Deferred income (liability)	(12,000)	(6,000)	
	<u>48,000</u>	<u>24,000</u>	

Profit or loss

	Year 1	Year 2	Year 3	Year 4
	CU	CU	CU	CU
Profit for the year	60,000	60,000	60,000	180,000
Depreciation	(30,000)	(30,000)	(30,000)	(90,000)
	30,000	30,000	30,000	90,000
Grant	6,000	6,000	6,000	18,000
	36,000	36,000	36,000	108,000

The overall effect on the financial statements is the same whichever method is used. Companies may prefer the deferred income method as it does not affect the carrying amount of the asset.